Type MS · Increase or decrease a value by a percentage

Answer 1 of 32 · Question 1 part e · 2 marks

2024 JUN · Paper 01 · extract 1 of 6 · find part e in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is B – Age** **A** is not the correct answer as skills are not protected by legislation **C** is not the correct answer as experience is not protected by legislation **D** is not the correct answer as ability is not protected by legislation	**(1)**

Question Number	Which **one** of the following represents a star product on the Boston matrix? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is A - High market growth, high market share** **B** is not the correct answer as it is a question mark product **C** is not the correct answer as it is a cash cow product **D** is not the correct answer as it is a dog product	**(1)**

Question Number	Which **one** of the following is the method of production where one unit of output is completed at a time? **Answer**	**Mark**
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D - Job** **A** is not the correct answer as lean is focussed on cutting out waste **B** is not the correct answer as flow is continuous production of the same product **C** is not the correct answer as batch is the production of a batch of one unit before moving on to the next	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 1 of 32 · Question 1 part e · 2 marks

2024 JUN · Paper 01 · extract 2 of 6 · find part e in this mark scheme extract

Question Number	Which **one** of the following is a current asset? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is B - cash** **A** is not the correct answer as a vehicle is a non-current asset **C** is not the correct answer as a building is a non-current asset **D** is not the correct answer as a factory is a non-current asset	**(1)**

Question Number	Which **one** of the following is the total cost in euros when buying 20 dog collars from the UK? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is C - €630.95** **A** is not the correct answer as €22.56 is £26.50 x €0.84 **B** is not the correct answer as €445.20 is (£26.50/€0.84) x 20 **D** is not the correct answer as €513.20 is (£26.50 - €0.84) x 20	**(1)**

Question Number	Which **one** of the following is the total monthly cost for *PPS*? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is A - €692.50** **B** is not the correct answer as €931.50 is €54 x €17.25 **C** is not the correct answer as €2137.50 is (€54 + €17.25) x 30 **D** is not the correct answer as €2312.50 is ((€54 + €17.25) x 30) + 175	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 1 of 32 · Question 1 part e · 2 marks

2024 JUN · Paper 01 · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Define the term **robotics.** Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **robotics**. • Robots carry out manufacturing process with no human involvement **(1)**	**(1)**
Question Number	Define the term **capital intensive production** **Answer**	**Mark**
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **capital intensive production**. • Production methods that use machinery more than labour **(1)**	**(1)**

Question Number	State **one** extension strategy *PPS* could use to extend the life cycle of the pet accessories. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for an extension strategy *PPS* could use to extend the life cycle of its pet accessories. • *PPS* could change the design of a dog jacket **(1)** • *PPS* could redesign UK dog collars **(1)** **NB** Do not accept an extension strategy that is not in the context of *PPS.* **Accept any other appropriate response.**	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 1 of 32 · Question 1 part e · 2 marks

2024 JUN · Paper 01 · extract 4 of 6 · find part e in this mark scheme extract

Question Number	Calculate the new hourly minimum wage after the increase of 3.5%. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 7.45 x 0.035 = 0.26 **(1)** 7.45 + 0.26 = 7.71 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** reason why many businesses have a human resource function. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for a reason why businesses have a human resource function, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • To recruit employees **(1)** by identifying a vacancy in the business **(1)** and finding the right person for that vacancy **(1)** **NB** Answers that list three reasons with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Increase or decrease a value by a percentage

Answer 1 of 32 · Question 1 part e · 2 marks

2024 JUN · Paper 01 · extract 5 of 6 · find part e in this mark scheme extract

Question Number	Analyse the usefulness of the gross profit margin to *PPS*. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • The gross profit margin in 2022 was 25.6% and in 2023 29.4% • Between 2022 and 2023 the GPM increased by 3.80% **AO3** • *PPS* can see that the increase indicates a healthy financial position with a positive increase and this may help in business decisions they have to make for following years • Figures such as this can be used to compare year on year performances and check changes in profitability	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Increase or decrease a value by a percentage

Answer 1 of 32 · Question 1 part e · 2 marks

2024 JUN · Paper 01 · extract 6 of 6 · find part e in this mark scheme extract

Question Number	State **one** advantage for *PPS* of keeping its customers loyal. **Answer**	**Mark**

Type MS · Increase or decrease a value by a percentage

Answer 2 of 32 · Question 1 part e · 2 marks

2019 JUN · Paper 02 · extract 1 of 5 · find part e in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **D –** Share capital	**(1)**

Question Number	Answer	Mark
1 (a)(ii)	**AO1 - 1 mark** **B -** Age	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO1 - 1 mark** **A –** Market research	**(1)**

Question Number	Answer	Mark
1 (a)(iv)	**AO1 - 1 mark** **C** – Total costs and revenue are the same	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO1 - 1 mark** **B –** €34 800	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO2 - 1 mark** **C -** €5 962	**(1)**

Question Number	Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of insolvency. • When a business can no longer meet its debts **(1)**.	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 2 of 32 · Question 1 part e · 2 marks

2019 JUN · Paper 02 · extract 2 of 5 · find part e in this mark scheme extract

Question Number	Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of product life cycle. • The stages a product will pass through from its introduction, through to growth, maturity and then decline **(1)**.	**(1)**

Question Number	Answer	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason why an employee could be dismissed in the context of the business. • Arriving late on the production line **(1)**. • Stealing an item such as a tyre **(1)**. **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 89,841 x .23 **(1)** = 20,663.43 89,841 + 20,663 = 110,504 **(1)** **OR** 123/100 x 89,841 **(1)** **=** 110,504 **(1)**	Award 1 mark for correctly substituting numbers into the formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Increase or decrease a value by a percentage

Answer 2 of 32 · Question 1 part e · 2 marks

2019 JUN · Paper 02 · extract 3 of 5 · find part e in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of an impact of technology on production, plus 2 further marks for explaining the impact, for a maximum of 3 marks. • Fewer people required to work in the factories doing repetitive jobs **(1)** people get bored doing these jobs and make mistakes **(1).** Less employees brings the cost of goods down **(1).** • More robots are manufacturing the vehicles than previously **(1)** this means that the vehicles can be manufactured in any country **(1)** therefore the business could move to a cheaper country **(1).** Answers that list three impacts with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**3)**

Type MS · Increase or decrease a value by a percentage

Answer 2 of 32 · Question 1 part e · 2 marks

2019 JUN · Paper 02 · extract 4 of 5 · find part e in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Tata Motor Company* highlights that it helps the local community with building schools/working on the environment. • *Tata Motor Company* also invests heavily in the health and welfare of people and the community. **AO3** • The public are more likely to think highly of *Tata Motor Company* if it is using the profits from its business to help local communities. • If there is any bad publicity about the vehicles sold then it could have a negative effect on the business.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Increase or decrease a value by a percentage

Answer 2 of 32 · Question 1 part e · 2 marks

2019 JUN · Paper 02 · extract 5 of 5 · find part e in this mark scheme extract

Question Number	Answer	Mark

Type MS · Increase or decrease a value by a percentage

Answer 3 of 32 · Question 1 part e · 2 marks

2020 NOV · Paper 01 (regional R) · extract 1 of 6 · find part e in this mark scheme extract

1 (a) (i)	**AO1 = 1 mark** **The only correct answer is D – Personal satisfaction** A is not correct because it is a financial business objective B is not correct because it is a financial business objective C is not correct because it is a financial business objective	**(1)**

Question Number	Answer	Mark
1 (a) (ii)	**AO1 = 1 mark** **The only correct answer is A - Rising star** B is not correct because it is a process carried out for health and safety at work C is not correct because it is in relation to branding D is not correct because it is part of the product life cycle	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO1 = 1 mark** **The only correct answer is B - Bonus** A is not correct because it is a financial method of motivation that is not added to a basic wage C is not correct because it is a non-financial method of motivation that is not added to a basic wage D is not correct because it is a method of payment where workers get paid for each item produced	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 3 of 32 · Question 1 part e · 2 marks

2020 NOV · Paper 01 (regional R) · extract 2 of 6 · find part e in this mark scheme extract

Question Number	Answer	Mark
1 (a) (iv)	**AO1 = 1 mark** **The only correct answer is A - Growth** B is not correct because this is phase 4 on figure 1 C is not correct because this is phase 1 on figure 1 D is not correct because this is phase 3 on figure 1	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO2 = 1 mark** **The only correct answer is B - 150%** A is not correct because this is profit per item C is not correct because this is selling price per course + cost per item D is not correct because this is selling price per course/ cost per item x100	**(1)**

Question Number	Answer	Mark
1 (a) (vi)	**AO2 = 1 mark** **The only correct answer is D - 9 675.90 JPY** A is not correct because this is the cost of the course B is not correct because this is the exchange rate of the JPY C is not correct because this is the cost of the course multiplied by 148	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 3 of 32 · Question 1 part e · 2 marks

2020 NOV · Paper 01 (regional R) · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Answer	Mark
1 (b)	**AO1 = 1 mark** Award 1 mark for a correct definition of capital intensive production. • Production methods that make more use of machinery than labour (1).	**(1)**

Question Number	Answer	Mark
1 (c)	**AO1 = 1 mark** Award 1 mark for a correct definition of quantitative data. • Data that is expressed as number (1).	**(1)**

Question Number	Answer	Mark
1 (d)	**A02 = 1 mark** Award 1 mark for a reason why Tom Baker operates his business as a social enterprise. • He could use his profits to help his local community (1). **Accept any other appropriate response.**	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 3 of 32 · Question 1 part e · 2 marks

2020 NOV · Paper 01 (regional R) · extract 4 of 6 · find part e in this mark scheme extract

Question Number	Answer	Additional guidance	Mark
1 (e)	**A02 = 2 marks** 23 546 x 0.03 = 706.38 (1) 23 546 + 706.38 = 24 252.38 (1) **OR** 23 546 x 103 (1) = 24 252.38 (1)	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Answer	Mark
1 (f)	**A01 = 3 marks** Award 1 mark for identification of a method of increasing profit, plus 2 further marks for explaining the impact, for a maximum of 3 marks. • Profits could be increased by cutting costs (1). A small business could cut the number of workers it has or reduce their hours (1) so if the revenue stays the same this will increase the profit (1). **NB** Answers that list three methods with no explanation will get a maximum of 1 mark. **Accept any other appropriate response**.	**(3)**

Type MS · Increase or decrease a value by a percentage

Answer 3 of 32 · Question 1 part e · 2 marks

2020 NOV · Paper 01 (regional R) · extract 5 of 6 · find part e in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • There is more interest in businesses becoming 'green' and *Loaf* provides somewhere for the community to recycle. • *Loaf* operates the 'Waste Not' scheme by giving away waste instead of disposing of it to reduce the amount the business disposes of. **AO3** • If the business is able to recycle packaging then it can cut costs leading to more profit to be contributed back to the local community, customers will be happy about this as they can physically see their local area being helped. • This is important for *Loaf* as customers will be able to see that the business is helping charities, meeting its social objectives and reducing any waste that it produces as a business.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Increase or decrease a value by a percentage

Answer 3 of 32 · Question 1 part e · 2 marks

2020 NOV · Paper 01 (regional R) · extract 6 of 6 · find part e in this mark scheme extract

Question Number	Answer	Mark

Type MS · Increase or decrease a value by a percentage

Answer 4 of 32 · Question 4 part a · 2 marks

2020 NOV · Paper 01 · extract 1 of 5 · find part a in this mark scheme extract

4 (a)	**AO2 = 2 marks** 7.70 x 0.025 = 0.1925 (1) 0.1925 + 7.70 = 7.89 (1)	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Increase or decrease a value by a percentage

Answer 4 of 32 · Question 4 part a · 2 marks

2020 NOV · Paper 01 · extract 2 of 5 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
4 (b)	**AO2 = 3 marks AO3 = 3 marks** **A02** • *TADS* could use sales promotions such as coupons in the local newspaper that Ollie writes a column for. • *TADS* could go to music festivals to showcase the skills of its students. **A03** • Coupons in the newspaper may lead to local readers using them thus increasing the number of students. • By doing this spectators will see the skills that have been taught and be encouraged to learn to play a new musical instrument.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Increase or decrease a value by a percentage

Answer 4 of 32 · Question 4 part a · 2 marks

2020 NOV · Paper 01 · extract 3 of 5 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **A01** • A private limited company is a suitable type of ownership for small and medium-sized businesses. • In a private limited company, the shareholders can only lose the money they invest. **A02** • As a one-man business becoming a private limited company means Ollie could raise more funds from family and friends. • *TADS* will have a separate legal identity meaning the business could carry on if anything happened to Ollie. **A03** • If *TADS* opts for a private limited company then Ollie can control who the other owners will be allowing him to choose people who have an interest in music and can invest in the business. • Having Ltd status means that Ollie's personal possessions are protected as are those of his shareholders. The benefit of this is that the risk for shareholders is reduced. **A04** • However, Ollie may not get a lot of interest so cannot raise large amounts of money and this can slow down his expansion plans. He may find it easier to opt for another source of finance such as a bank loan rather than change the legal ownership of the business, so he does not lose any control of the business. • However, becoming a Ltd will involve an increase in paperwork and some information will have to be shared publicly and this could be of some interest to Ollie's competitors.	**(12)**

Type MS · Increase or decrease a value by a percentage

Answer 4 of 32 · Question 4 part a · 2 marks

2020 NOV · Paper 01 · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5–8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	9–12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Increase or decrease a value by a percentage

Answer 4 of 32 · Question 4 part a · 2 marks

2020 NOV · Paper 01 · extract 5 of 5 · find part a in this mark scheme extract

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Type MS · Increase or decrease a value by a percentage

Answer 5 of 32 · Question 4 part a · 2 marks

2020 NOV · Paper 02 · extract 1 of 6 · find part a in this mark scheme extract

4 (a)	**A02 = 2 marks** 730 000 x 0.03 (1) 730 000 + 21 900 = 751 900 (1)	Award 1 mark for substituting numbers into formula correctly. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Increase or decrease a value by a percentage

Answer 5 of 32 · Question 4 part a · 2 marks

2020 NOV · Paper 02 · extract 2 of 6 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
4 (b)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Emirates* gets the opportunity of only employing those pilots with the skills it wants. • *Emirates* staff are able to ask the pilots questions to judge whether they will meet the needs of the airline. **AO3** • *Emirates* can ensure that the pilots it employs will be the best and serve the airline to the best of their ability. • This may ensure *Emirates* gets the best pilots who will give the best service, resulting in a greater market share.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Increase or decrease a value by a percentage

Answer 5 of 32 · Question 4 part a · 2 marks

2020 NOV · Paper 02 · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • A change that could affect *Emirates* is increased consumer spending. • Low-cost airlines would be competition for *Emirates*. **AO2** • Increased consumer spending could lead to more people taking overseas holidays. • If a low-cost airline enters the market consumers have more choice over which airline to use. **AO3** • This could lead to increased demand for *Emirates* flights thereby increasing its revenue. • This could lead to a reduced market share for *Emirates* thereby decreasing its revenue. **AO4** • Increased demand for *Emirates* flights may become difficult to provide as there could be a shortage of pilots, because of the time taken to train them, and suitable aircraft because of possible high demand. • However, if *Emirates* offers the best service it could regain its prime position in the market and possibly increase the number of passengers because not everyone wants to fly with low-cost airlines.	**(12)**

Type MS · Increase or decrease a value by a percentage

Answer 5 of 32 · Question 4 part a · 2 marks

2020 NOV · Paper 02 · extract 4 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5–8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Increase or decrease a value by a percentage

Answer 5 of 32 · Question 4 part a · 2 marks

2020 NOV · Paper 02 · extract 5 of 6 · find part a in this mark scheme extract

Level 3	9–12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1). • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Increase or decrease a value by a percentage

Answer 5 of 32 · Question 4 part a · 2 marks

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Answer 6 of 32 · Question 1 part e · 2 marks

2021 JUN · Paper 02 · extract 1 of 7 · find part e in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **1 (a) (i) The only correct answer is C** **A** is not correct because primary is extracting raw materials **B** is not correct as secondary is the manufacturing of the goods **D** is not correct as quarternary is not a section in retail under this word	**(1)**

Question Number	Which **one** of the following would be used to select a group of applicants for interview? Answer	Mark
1 (a) (ii)	**AO1 - 1 mark** **1 (a) (ii) The only correct answer is B** **A** is not correct because training as this is carried out once the applicant has obtained the job **C** is not correct because marketing it is not involved in interviewing **D** is not correct because advertising is not involved in interviewing	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 6 of 32 · Question 1 part e · 2 marks

2021 JUN · Paper 02 · extract 2 of 7 · find part e in this mark scheme extract

Question Number	Which **one** of the following would *NEXT* pay in £ (GBP) to the Turkish manufacturer for the 5,000 dresses? Answer	Mark
1 (a) (iii)	**AO2 - 1 mark** **1 (a) (iii) The only correct answer is D** **A** is not correct 5 101 is 5000 + 101.10 **B** is not correct 5 674 is 5000 + (100 x 6.74) **C** is not correct 33 700 is 5000 x 6.74	**(1)**

Question Number	Which **one** of the following describes Kaizen? Answer	Mark
1 (a) (iv)	**AO1 - 1 mark** **1 (a) (iv) The only correct answer is D** **A** is not correct as skilled manufacturing is making the product **B** is not correct as JIT is the arrival of materials in time for manufacture **C** is not correct as market orientated is not related to production	**(1)**

Question Number	What is the percentage increase, to two decimal places, of online customers from 2017 to 2018? Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **1 (a) (v) The only correct answer is C 4.26%** **A** is not correct 2.00% is (4.9 – 4.7) x 10 **B** is not correct 4.08% is 4.9 + 4.7 = 9.6 x 4.26/ 10 **D** is not correct 4.70% is 4.7 million as a percentage	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 6 of 32 · Question 1 part e · 2 marks

2021 JUN · Paper 02 · extract 3 of 7 · find part e in this mark scheme extract

Question Number	Which **one** of the following is a benefit of buying a franchise? Answer	Mark
1 (a) (vi)	**AO1 - 1 mark** **1 (a) (vi) The only correct answer is A** **B** is not correct as franchisee pay the same rate of VAT **C** is not correct as the franchisor does not pay the franchisee to set up **D** is not correct as a franchisee does not make his/her own decisions	**(1)**

Question Number	Define the term **delegation**. Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of delegation. • The passing of responsibility to a subordinate **(1)**	**(1)**

Question Number	Define the term **venture capital**. Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of venture capital. • Venture capital is a type of risk capital available to start-up businesses **(1)**	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 6 of 32 · Question 1 part e · 2 marks

2021 JUN · Paper 02 · extract 4 of 7 · find part e in this mark scheme extract

Question Number	State **one** reason why *NEXT* might use cost plus pricing. Answer	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason of using cost plus pricing in the context of the business. • *NEXT* may use this method as the mark up can be different in the 70 countries it operates/sells in **(1)** • *NEXT* may use cost plus pricing to ensure that a profit is made on each dress sold **(1)** **Accept any other appropriate response.**	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 6 of 32 · Question 1 part e · 2 marks

2021 JUN · Paper 02 · extract 5 of 7 · find part e in this mark scheme extract

Question Number	Calculate the predicted sales for next year. Answer	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 727 000 000 x 1.032 **(1)** = 750 264 000 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** disadvantage for a business that does not achieve its predicted growth. Answer	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a disadvantage for a business that does not achieve its predicted growth, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Shareholders may not be very happy **(1)** because if the business does not reach its predicted growth they may not receive dividends **(1)** and this may mean that they invest in other businesses **(1)** • If the business does not achieve its predicted growth it may not be able to expand **(1)** this means that it may lose some market share **(1)** as customers could go elsewhere **(1)** NB Answers that list three disadvantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Increase or decrease a value by a percentage

Answer 6 of 32 · Question 1 part e · 2 marks

2021 JUN · Paper 02 · extract 6 of 7 · find part e in this mark scheme extract

Question Number	Analyse the benefits to *NEXT* of training all its employees. Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • If *NEXT* trained all its employees, then they are trained in a consistent fashion so that they can operate in the same way across 70 countries • Employees attending these training sessions will gain customer service skills they can use in *NEXT* shops **AO3** • This means that all employees work to the same standards set by *NEXT* • These new customer service skills allow employees to improve their sales techniques and this could lead to increased sales for *NEXT*	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Increase or decrease a value by a percentage

Answer 6 of 32 · Question 1 part e · 2 marks

2021 JUN · Paper 02 · extract 7 of 7 · find part e in this mark scheme extract

Question Number	State **one** reason why *NEXT* would want to promote its own employees. Answer	Mark

Type MS · Increase or decrease a value by a percentage

Answer 7 of 32 · Question 1 part a.v · 1 mark

2021 NOV · Paper 02 · extract 1 of 6 · find part a.v in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **A –** It is a more up to date method of research B – is incorrect as it is very time-consuming C – is incorrect as it is more expensive D – is incorrect as it is carried out by a variety of people not just agencies	**(1)**

Question Number	Which **one** of the following is a financial objective? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **B –** Market share A – is incorrect as personal satisfaction is not financial C – is incorrect as independence is not financial D – is incorrect as control is not financial	**(1)**

Question Number	Which **one** of the following is the total revenue for a day? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** **C** – £2 400 A – is incorrect as £600 is the fixed cost B – is incorrect as £1 800 is £600 x £3.00 D – is incorrect as £600 x £12.00	**(1)**

4BS1 02 November 2021

Type MS · Increase or decrease a value by a percentage

Answer 7 of 32 · Question 1 part a.v · 1 mark

2021 NOV · Paper 02 · extract 2 of 6 · find part a.v in this mark scheme extract

Question Number	Which **one** of the following would be a disadvantage for a partner in a partnership? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **B –** Liability for all debts A – is incorrect as sharing the workload is a benefit C – is incorrect as access to more capital is a benefit D – is incorrect as sharing skills is a benefit	**(1)**

Question Number	What would be the brand value in 2019? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **C –** $8.66 billion A – is incorrect as 6.20 is 14/10 = 1.4 7.6 – 1.4 = 6.2 B – is incorrect as 7.74 is 7.6 plus .14 D – is incorrect as 10.64 is 76 x .14	**(1)**

Question Number	Which **one** of the following is a source of long-term finance? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** **D –** Bank loan A – is incorrect as an overdraft is short term finance B – is incorrect as sales revenue is funds made from sales C 0 is incorrect as a bank loan is not long term finance.	**(1)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Increase or decrease a value by a percentage

Answer 7 of 32 · Question 1 part a.v · 1 mark

2021 NOV · Paper 02 · extract 3 of 6 · find part a.v in this mark scheme extract

Question Number	Define the term **sole trader**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of sole trader. • A business owned exclusively by one person **(1)**	**(1)**

Question Number	Define the term **demographics**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of demographics. • A particular section of the population **(1)**	**(1)**

Question Number	State **one** reason why *Huawei* may use share capital as a source of finance. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason of using share capital in the context of the business. • *Huawei* does not have to pay the funds back it can use the money to pay the salaries of the smartphone designers **(1)** • *Huawei* can use the money raised as it wishes such as investing in new technology **(1)** **Accept any other appropriate response.**	**(1)**

Question Number	Calculate, to two decimal places, the operating profit margin for *Huawei*. **Answer**	**Additional guidance**	**Mark**

4BS1 02 November 2021

Type MS · Increase or decrease a value by a percentage

Answer 7 of 32 · Question 1 part a.v · 1 mark

2021 NOV · Paper 02 · extract 4 of 6 · find part a.v in this mark scheme extract

1 (e)	**A02 - 2 marks** = 73 287 ÷ 721 202 x 100 **(1)** = 10.16 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** advantage for a business of using **sponsorship**. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of an advantage of a business of using sponsorship, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • By sponsoring an event the business will gain publicity **(1)** the event could be local, national or global **(1)** this would mean the business would cover a wide spectrum of people **(1)** • By sponsoring an event brand awareness will be increased **(1)** this could encourage followers of the event to consider purchasing from the business **(1)** leading to increased revenue/profits **(1)** NB Answers that list three advantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Increase or decrease a value by a percentage

Answer 7 of 32 · Question 1 part a.v · 1 mark

2021 NOV · Paper 02 · extract 5 of 6 · find part a.v in this mark scheme extract

Question Number	Analyse the benefits of *Huawei* of locating its factories near to its labour sources. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • By locating a factory in an area where there is a skilled labour force it could reduce training costs • *Huawei* may need certain skills to operate manufacturing machinery for its products e.g. smartphones **AO3** • The money saved could then be used for other purposes within *Huawei* • If those skills are available the factory may become more productive and efficient in manufacturing smartphones	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Increase or decrease a value by a percentage

Answer 7 of 32 · Question 1 part a.v · 1 mark

2021 NOV · Paper 02 · extract 6 of 6 · find part a.v in this mark scheme extract

Question Number	State **one** possible reason why *Huawei* pays its employees in the UK above the minimum wage. **Answer**	**Mark**

Type MS · Increase or decrease a value by a percentage

Answer 8 of 32 · Question 1 part e · 2 marks

2022 JUN · Paper 02 (regional R) · extract 1 of 7 · find part e in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **B** Partnership A A sole trader is only one person C Public Corporation is a large business run by many D Public Limited Company has directors and can be quite a large business	**(1)**

Question Number	Which **one** of the following would show a business its cash flow forecast? Answer	Mark
1 (a)(ii)	**AO1 - 1 mark** **A** Cash inflows and outflows B Money owed to its creditors is a debt and is not a forecast C Net cash flow is the difference between money in and money out D Opening and closing balances are actual amounts and not a forecast	**(1)**

Question Number	Which **one** of the following would a customer in South Africa pay in ZAR for two 850 gram *Cadbury* Dairy Milk Bars? Answer	Mark
1 (a) (iii)	**AO2 - 1 mark** **C** 411.19 A 20.59 (20.58 + 1) B 205.60 (20.58 x 9.99) D 411.60 (20.58 x 10.00 x 2)	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 8 of 32 · Question 1 part e · 2 marks

2022 JUN · Paper 02 (regional R) · extract 2 of 7 · find part e in this mark scheme extract

Question Number	Which **one** of the following functional areas would a skilled machinist work in? Answer	Mark
1 (a)(iv)	**AO1 - 1 mark** **C** Production A Finance deals with the money side of the business B Human Resources deals with recruitment D Marketing deals with advertising the products	(1)

Question Number	What is the percentage decrease in the price of the *Cadbury* Crunchie? Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **D** 8.42% A 0.92% (0.87 ÷ 0.95) B 1.09% (0.95 ÷ 0.87) C 8.00% (0.95 - 0.87)	(1)

Question Number	Which **one** of the following is an example of secondary market research? Answer	Mark
1 (a)(vi)	**AO1 - 1 mark** **B** Market Report A Telephone Survey is primary research C Test Marketing is primary research D Focus Group is primary research	(1)

Question Number	Define the term **personal savings**. Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **personal savings.** • Money that belongs to an individual not a business **(1)**	(1)

Type MS · Increase or decrease a value by a percentage

Answer 8 of 32 · Question 1 part e · 2 marks

2022 JUN · Paper 02 (regional R) · extract 3 of 7 · find part e in this mark scheme extract

Question Number	Define the term **sole trader.** Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of a **sole trader.** • A business owned by a single person **(1)**	**(1)**

Question Number	State **one** reason why *Cadbury* might pay its UK employees above the minimum wage. Answer	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason of why *Cadbury* pays its UK employees above the minimum wage in the context of the business. • Employees are more likely to stay with *Cadbury* and not move to a competitor such as Rowntree's to earn additional money **(1)** • Employees are less likely to take time off from producing chocolate bars if they are paid well **(1)** **NB** Do not accept a reason that is not in the context of *Cadbury*. **Accept any other appropriate response.**	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 8 of 32 · Question 1 part e · 2 marks

2022 JUN · Paper 02 (regional R) · extract 4 of 7 · find part e in this mark scheme extract

Question Number	Calculate the selling price of the chocolate cake. Answer	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 6.50 x .20 = 1.30 **(1)** 6.50 + 1.30 = 7.80 **(1)** **OR** 6.50 x 1.20 **(1)** = 7.80 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** advantage for businesses if banks reduce their interest rates. Answer	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of an advantage for a business if the banks reduce their interest rates, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • This means that if a business took out loans **(1)** monthly repayments would be lower **(1)** leaving more funds for other business expenses **(1)** • If the interest rates are reduced, then customers may have more funds available **(1)** to spend on goods/products **(1)** thus increasing the turnover of businesses **(1)** **NB** No marks are awarded for a definition. Answers that list three advantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Increase or decrease a value by a percentage

Answer 8 of 32 · Question 1 part e · 2 marks

2022 JUN · Paper 02 (regional R) · extract 5 of 7 · find part e in this mark scheme extract

Question Number	Analyse **two** factors that could influence *Cadbury* when locating a new factory. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** AO2 • *Cadbury* may need to move to a location where there are skilled employees, such as cake designers and biscuit bakers • Locating near to motorways or railways means that cocoa can be delivered to *Cadbury* factories using a variety of methods AO3 • If *Cadbury* locates near to a pool of skilled employees they require, employees will be willing to work at *Cadbury* as they will not have far to travel • This means that the cocoa will arrive in time for the production of *Cadbury* products	(6)

Type MS · Increase or decrease a value by a percentage

Answer 8 of 32 · Question 1 part e · 2 marks

2022 JUN · Paper 02 (regional R) · extract 6 of 7 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Increase or decrease a value by a percentage

Answer 8 of 32 · Question 1 part e · 2 marks

2022 JUN · Paper 02 (regional R) · extract 7 of 7 · find part e in this mark scheme extract

Question Number	State **one** item of information that an applicant would include in their Curriculum Vitae (CV) when applying for a position with *Cadbury*. Answer	Mark

Type MS · Increase or decrease a value by a percentage

Answer 9 of 32 · Question 3 part c · 2 marks

2022 JUN · Paper 02 · extract 1 of 5 · find part c in this mark scheme extract

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of **delegation** • The passing of work from a superior to a subordinate **(1)**	**(1)**

Question Number	Outline **one** benefit to *LEGO* of being a privately-owned family business. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying a benefit for *LEGO of* being a family owned business, plus 1 further mark for linking it to the context of the question. • This means that since 1932 the Kritiansen family have continuously run *LEGO as a* privately owned business **(1)** which gives *LEGO* stability and continuity **(1)** **NB** Do not accept a benefit that is not in the context of *LEGO.* **Accept any other appropriate response.**	**(2)**

Question Number	Calculate the employee's new salary. **Answer**	**Additional guidance**	**Mark**
3 (c)	**A02 - 2 marks** 150 000 x 0.045 = 6 750 **(1)** 150 000 + 6 750 = 156 750 **(1)** **OR** 150 000 x 1.045 **(1)** = 156 750 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Increase or decrease a value by a percentage

Answer 9 of 32 · Question 3 part c · 2 marks

2022 JUN · Paper 02 · extract 2 of 5 · find part c in this mark scheme extract

Question Number	Analyse how *LEGO* could use a Statement of Comprehensive Income when considering the development of new toys. **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Statement of Comprehensive Income gathers data from all 15 worldwide *LEGO* factories • *LEGO* can use the information to see its financial position when introducing the new Star Wars Princess Leia toy and whether it has sufficient funds **AO3** • This will enable *LEGO* to see if it is making a sufficient profit margin compared to other toy makers such as Disney allowing it to alter its pricing strategy • Introducing a new toy is expensive as there are costs of design and development as well as producing the toy before it goes on sale to the public	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Increase or decrease a value by a percentage

Answer 9 of 32 · Question 3 part c · 2 marks

2022 JUN · Paper 02 · extract 3 of 5 · find part c in this mark scheme extract

Question Number	**Option 1:** on-the-job training **Option 2:** off-the-job training. **Indicative content**	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – The cost of training is reduced as employees remain on the premises producing the Princess Leia toy whilst being trained • **Option 2** – When employees are trained by experts off site, they gain new skills and see new production methods not seen in the 15 *LEGO* factories **AO3** • **Option 1** – Employees gain in confidence as they are trained by staff they know whilst at *LEGO* • **Option 2** – Employees can gain new skills from experts, resulting in fewer errors thus improving the number of toys produced in each factory **AO4** • **Option 1** – However, this can be time consuming and prevents the skilled employees from carrying out their job efficiently • **Option 2** – However, the new employees may not gain the specific skills and knowledge which are needed for designing the new Star Wars toys for *LEGO*	**(9)**

Type MS · Increase or decrease a value by a percentage

Answer 9 of 32 · Question 3 part c · 2 marks

2022 JUN · Paper 02 · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Increase or decrease a value by a percentage

Answer 9 of 32 · Question 3 part c · 2 marks

2022 JUN · Paper 02 · extract 5 of 5 · find part c in this mark scheme extract

Question Number	Calculate, to two decimal places, the current ratio in 2019. **Answer**	Additional guidance	Mark

Type MS · Increase or decrease a value by a percentage

Answer 10 of 32 · Question 1 part a.v · 1 mark

2023 JUN · Paper 01 · extract 1 of 7 · find part a.v in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is C – Marketing** **A –** Human resources – this is not the correct answer as it is responsible for employees **B** – Finance – this is not the correct answer as it is responsible for money **D** – Production – this is not the correct answer as it is responsible for making goods	**(1)**

Question Number	Which **one** of the following is the difference between cash inflow and cash outflow? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is B – Net cash flow** **A –** Opening balance – this is not correct as it is the amount of cash a business expects to have at the start of a month **C –** Closing balance - this is not correct as it is the amount of cash a business expects to have at the end of a month **D –** Cash flow forecast - this is not correct as it is the account which predicts expected receipts and expenses over a future time period	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 10 of 32 · Question 1 part a.v · 1 mark

2023 JUN · Paper 01 · extract 2 of 7 · find part a.v in this mark scheme extract

Question Number	Which **one** of the following is the sector that converts raw materials into products? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D – Secondary** **A** – Public – this is not correct as it is business organisations owned by government **B** – Tertiary – this is not correct as it is the provider of services **C** – Primary – this is not correct as it is the extraction of raw materials from the earth	**(1)**

Question Number	Which **one** of the following is an example of a good? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is A – Motor vehicle** **B –** Financial advice - this is not correct as it is an example of a service **C –** Car washing– this is not correct as it is an example of a service **D –** Gardening – this is not correct as it is an example of a service	**(1)**

Question Number	Which **one** of the following would be a 3% increase in revenue for *Irsi Chocolatier*? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is C – €320 973.75** **A –** €317 857.50 – this is not the correct answer as it is an increase of 2% **B –** €319 415.63 – this is not the correct answer as it is an increase of 2.5% **D –** €322 531.88 – this is not the correct answer as it is an increase of 3.5%	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 10 of 32 · Question 1 part a.v · 1 mark

2023 JUN · Paper 01 · extract 3 of 7 · find part a.v in this mark scheme extract

Question Number	Which **one** of the following is the break-even point when a box of luxury chocolates is priced at €15.10? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is B – 76** **A –** 75 – this is not the correct answer as it is the correct answer minus one **C –** 77 – this is not the correct answer as it is the correct answer plus one **D –** 78 – this is not the correct answer as it is the correct answer plus two	**(1)**

Question Number	Define the term **limited liability** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **limited liability**. • When the business owner is only responsible for the original amount of money invested in the business **(1)**	**(1)**

Question Number	Define the term **social enterprise** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **social enterprise**. • A business that aims to improve human or environmental well-being **(1)**	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 10 of 32 · Question 1 part a.v · 1 mark

2023 JUN · Paper 01 · extract 4 of 7 · find part a.v in this mark scheme extract

Question Number	State **one** way *Irsi Chocolatier* could use the Boston matrix. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a way *Irsi Chocolatier* could use the Boston matrix • *Irsi Chocolatier* could use the dog category to see the chocolates that are not worth making anymore **(1)** **NB** Do not accept a way that is not in the context of *Irsi Chocolatier*. **Accept any other appropriate response.**	**(1)**

Question Number	Calculate, to two decimal places, the cost of these chocolates after the discount has been applied. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 75.50 x 0.06 = 4.53 **(1)** 75.50 – 4.53 = 70.97 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Increase or decrease a value by a percentage

Answer 10 of 32 · Question 1 part a.v · 1 mark

2023 JUN · Paper 01 · extract 5 of 7 · find part a.v in this mark scheme extract

Question Number	Explain **one** benefit for a business that uses test marketing. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a benefit for a business that uses test marketing, plus 2 further marks for explaining the benefit, for a maximum of 3 marks. • The risk of failure is reduced **(1)** as the new product is only tested in one area gaining feedback from customers **(1)** leading to modifications being made before the final launch **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Increase or decrease a value by a percentage

Answer 10 of 32 · Question 1 part a.v · 1 mark

2023 JUN · Paper 01 · extract 6 of 7 · find part a.v in this mark scheme extract

Question Number	Analyse the importance of branding for *Irsi Chocolatier*. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • As a business that started in 1989 it has been able to develop and maintain a strong image for its chocolates and sweets • Branding against local competing chocolate shops helps *Irsi Chocolatier* stand out **AO3** • This is important as the brand helps create recognition of the business allowing *Irsi Chocolatier* to continue as a long-standing business • As the brand becomes stronger a higher price for the products can be charged and new products being introduced have a higher success rate due to its current branding	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Increase or decrease a value by a percentage

Answer 10 of 32 · Question 1 part a.v · 1 mark

2023 JUN · Paper 01 · extract 7 of 7 · find part a.v in this mark scheme extract

Question Number	State **one** method *Irsi Chocolatier* could use to improve its competitive position. **Answer**	Mark

Type MS · Increase or decrease a value by a percentage

Answer 11 of 32 · Question 1 part a.v · 1 mark

2023 JUN · Paper 02 (regional R) · extract 1 of 7 · find part a.v in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** The only correct answer is **B** Social **A** - is incorrect as esteem is level 4 **C** - is incorrect as safety is level 2 **D** - is incorrect as basic is level 1	**(1)**

Question Number	Which **one** of the following is an external source of finance? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** The only correct answer is **D** Venture capital **A** - is incorrect as personal savings is an internal source of finance **B** - is incorrect as retained profit is an internal source of finance **C** - is incorrect as selling assets is an internal source of finance	**(1)**

Question Number	Which **one** of the following is the closing balance for the end of the month? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** The only correct answer is **B** -£8 000 **A** - is incorrect as -£28 000 because cash inflow of £28 000 minus cash outflow of 56 000 **C** - is incorrect as £48 000 because it is the opening balance of as £20 000 plus the cash inflow of £28 000 **D** - is incorrect as £84 000 because it is the cash inflow of £28 000 plus the cash outflow of £56 000	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 11 of 32 · Question 1 part a.v · 1 mark

2023 JUN · Paper 02 (regional R) · extract 2 of 7 · find part a.v in this mark scheme extract

Question Number	Which **one** of the following is a reason why governments raise tax rates? **Answer**	Mark
1 (a)(iv)	**AO1 - 1 mark** The only correct answer is **A** To raise revenue to fund government expenditure **B** - is incorrect as raising taxes would put off multinationals from investing **C** - is incorrect as to higher taxes would reduce demand in the economy **D** - is incorrect as this would increase unemployment if income tax increases	**(1)**

Question Number	What would be the number of tractors sold in February 2021? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** The only correct answer is **C** 322,898 **A** - is incorrect because 253,706 is 288,302 minus 12% **B** - is incorrect because 300,302 = 288,302 + 12, 000 **D** - is incorrect because 322,910 = 288,302 + 34,596 +12	**(1)**

Question Number	Which **one** of the following market research methods would the shop owner use? **Answer**	Mark
1 (a)(vi)	**AO1 - 1 mark** The only correct answer is **B** Primary research **A** - is incorrect as market segment is not market research **C** - is not correct as research and development as it is not market research **D** - is not correct as secondary research is data that has already been collected	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 11 of 32 · Question 1 part a.v · 1 mark

2023 JUN · Paper 02 (regional R) · extract 3 of 7 · find part a.v in this mark scheme extract

Question Number	Define the term **public corporation.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of public corporation. • A business owned and controlled by the state/government **(1)**	**(1)**

Question Number	Define the term **qualitative market research.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of qualitative market research. • Information about attitudes, beliefs and intentions **(1)**	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 11 of 32 · Question 1 part a.v · 1 mark

2023 JUN · Paper 02 (regional R) · extract 4 of 7 · find part a.v in this mark scheme extract

Question Number	State **one** reason why it is important for *M&M* to motivate its employees. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason why it is important for *M&M* to motivate its employees in the context of the business. • *M&M* motivating its employees means they will work harder and take a pride in building tractors **(1)** • More motivated employees might be willing to accept new working practices after training such as the introduction of robots on the production line **(1)** **NB** Do not accept a reason that is not in the context of *M&M.* **Accept any other appropriate response.**	**(1)**

Question Number	Calculate to 2 decimal places, the percentage increase from 2019 to 2020. **Answer**	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 900 – 448 = 452 **(1)** 452/448 x 100 = 100.89 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Increase or decrease a value by a percentage

Answer 11 of 32 · Question 1 part a.v · 1 mark

2023 JUN · Paper 02 (regional R) · extract 5 of 7 · find part a.v in this mark scheme extract

Question Number	Explain **one** advantage of becoming a multinational business. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for an advantage of a business becoming a multinational plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • A multinational business has a global supplier base **(1)** that is able to supply a range of components/products **(1)** and this could increase revenue **(1)** • Multinationals operate in many different countries **(1)** this makes the movement of products easier **(1)** as trade barriers are reduced **(1)** **NB** No marks are awarded for a definition. Answers that list two reasons with no explanation will gain 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Increase or decrease a value by a percentage

Answer 11 of 32 · Question 1 part a.v · 1 mark

2023 JUN · Paper 02 (regional R) · extract 6 of 7 · find part a.v in this mark scheme extract

Question Number	Analyse the disadvantages to *M&M* of using social media. **Indicative content**	**Mark**
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Negative comments can be put on social media about the quality of *M&M*'s tractors • Not everyone has or uses social media, so there is no guarantee that they would see advertisements about new cars that *M&M* have made **AO3** • The comments could be made by a disgruntled customer and the comments might not be true • This could mean that a number of potential customers might not see the advertisements and would then not be able to buy the new cars	**(6)**

Type MS · Increase or decrease a value by a percentage

Answer 11 of 32 · Question 1 part a.v · 1 mark

2023 JUN · Paper 02 (regional R) · extract 7 of 7 · find part a.v in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Question Number	State **one** non-financial objective for *M&M*. **Answer**	**Mark**

Type MS · Increase or decrease a value by a percentage

Answer 12 of 32 · Question 3 part c · 2 marks

2023 NOV · Paper 01 · extract 1 of 5 · find part c in this mark scheme extract

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of **job production.** • Method of production that involves all factors to complete one unit of output at a time **(1)**	**(1)**

Question Number	Outline why *AWG* can be classified as operating in the secondary sector. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying why *AWG* can be classified as operating in the secondary sector, plus 1 further mark for linking it to the context of the business. • *AWG* take raw materials **(1)** to convert them into jumpers and dresses **(1)** **NB** Do not accept why that is not in the context of *AWG*. **Accept any appropriate response.**	**(2)**

Question Number	Calculate the total amount, including interest, *AWG* would have paid to the bank. **Answer**	**Additional guidance**	**Mark**
3 (c)	**A02 - 2 marks** 70 000 x 0.065 = 4 550 **(1)** 70 000 + 4 550 = 74 550 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Increase or decrease a value by a percentage

Answer 12 of 32 · Question 3 part c · 2 marks

2023 NOV · Paper 01 · extract 2 of 5 · find part c in this mark scheme extract

Question Number	Analyse the impact on *AWG* of a depreciation of the ISK. **Indicative content**	**Mark**
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Exchange rates will affect the price that *AWG* will pay for importing the wool and other materials they buy to make the clothing • The cost of the jumpers bought by customers in other countries will be impacted by a change in the exchange rate **AO3** • A depreciating krona could lead to an increase in the cost of material purchased by *AWG* and may result in an increase in the price of the clothing • A depreciating krona may lead to an increase in demand from overseas customers who benefit from the change in the exchange rate	**(6)**

Level	**Mark**	**Descriptor**
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Increase or decrease a value by a percentage

Answer 12 of 32 · Question 3 part c · 2 marks

2023 NOV · Paper 01 · extract 3 of 5 · find part c in this mark scheme extract

Question Number	**Option 1:** competition pricing **Option 2:** cost plus pricing Justify which **one** of these two options *AWG* should choose. **Indicative content**	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – Competition pricing would see *AWG* selling clothing at similar prices to other clothing retailers • **Option 2** – Cost plus pricing would mean *AWG* would calculate the costs of making the jumpers and then add a markup for profit **AO3** • **Option 1** – This may increase the chance of selling the clothes as younger customers are likely to compare the prices of clothing especially if their income is low • **Option 2** – *AWG* can guarantee that they would make a profit on each item sold **AO4** • **Option 1** – However, as *AWG* use sustainable materials in its jumpers, the manufacturing cost of the clothing may be high, which means selling at a competitive price may not be feasible • **Option 2** – However, cost plus pricing does not account for what the customer is willing to pay, and *AWG* could be losing out on possible increased revenue/profits	**(9)**

Type MS · Increase or decrease a value by a percentage

Answer 12 of 32 · Question 3 part c · 2 marks

2023 NOV · Paper 01 · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Increase or decrease a value by a percentage

Answer 12 of 32 · Question 3 part c · 2 marks

2023 NOV · Paper 01 · extract 5 of 5 · find part c in this mark scheme extract

Question Number	Calculate the commission payment paid to an employee selling 12 jumpers. **Answer**	**Additional guidance**	**Mark**

Type MS · Increase or decrease a value by a percentage

Answer 13 of 32 · Question 1 part e · 2 marks

2023 NOV · Paper 02 · extract 1 of 8 · find part e in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** The only correct answer is **D** Focus groups **A** is incorrect as published government statistics is secondary market research **B** is incorrect as a magazine article is secondary market research **C** is incorrect as internet research is secondary market research	**(1)**

Question Number	Which **one** of the following is an example of external communication? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** The only correct answer is **B** Sending a customer details of a special offer **A** Is incorrect as a presentation by the chairperson to employees is an internal communication **C** Is incorrect as a departmental meeting is an internal communication **D** Is incorrect as training sessions for new employees is an internal communication	**(1)**

Question Number	Which **one** of the following is the percentage decrease in the share price? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** The only correct answer is **C** 4.08% **A** is incorrect as 1.49 is 36.55 - 35.06 **B** is incorrect as 1.96 is 36.55 + 35.06/36.55 **D** is incorrect as 4.25 is 36.55 - 35.06 = 1.49/35.06 x 100	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 13 of 32 · Question 1 part e · 2 marks

2023 NOV · Paper 02 · extract 2 of 8 · find part e in this mark scheme extract

Question Number	Which **one** of the following is the price of 12 tins of baked beans with the 12.5% promotional price discount? **Answer**	Mark
1 (a)(iv)	**AO1 - 1 mark** The only correct answer is **A** $5.67 **B** is incorrect as $6.48 = 0.54 x 12 **C** is incorrect as $56.25 = 54 ÷ 12 x 12.5 **D** is incorrect as $81.00 = 0.54 x 12 x 12.5	**(1)**

Question Number	Which **one** of the following would be a long-term source of finance for a sole trader? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** The only correct answer is **C** Personal savings **A** is incorrect as trade credit is not long term **B** is incorrect as overdraft is not long term **D** is incorrect as share capital is not available for sole traders	**(1)**

Question Number	Which **one** of the following is the break-even point? **Answer**	Mark
1 (a)(vi)	**AO1 - 1 mark** The only correct answer is **D** **A** is incorrect as it is the total revenue **B** is incorrect as it is the total costs **C** is incorrect as it is the fixed costs	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 13 of 32 · Question 1 part e · 2 marks

2023 NOV · Paper 02 · extract 3 of 8 · find part e in this mark scheme extract

Question Number	Define the term **labour intensive production.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **labour intensive production.** • A production method that makes more use of labour than machines/capital **(1)**	**(1)**

Question Number	Define the term **trade bloc.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **trade bloc.** • A group of countries that join together to protect themselves from imports from non-members **(1)**	**(1)**

Question Number	State **one** reason why *Kraft Heinz* prefers to train its employees using on-the-job training. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid reason why *Kraft Heinz* prefers to train its employees using on-the-job training in the context of the business. • Employees will know the ingredients for tomato sauce and how it is made **(1)** • Employees are shown the production process of baked beans **(1)** **NB** Do not accept a reason that is not in the context of *Kraft Heinz* **Accept any other appropriate response.**	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 13 of 32 · Question 1 part e · 2 marks

2023 NOV · Paper 02 · extract 4 of 8 · find part e in this mark scheme extract

Question Number	Calculate the total pay an employee would receive once the bonus is added to their salary. You are advised to show your working. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 15 750 x 0.14 **(1)** = 2 205 15 750 + 2 205 = 17 955 **(1)** **OR** 15 750 x 1.14 = 17 955 **(2)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Increase or decrease a value by a percentage

Answer 13 of 32 · Question 1 part e · 2 marks

2023 NOV · Paper 02 · extract 5 of 8 · find part e in this mark scheme extract

Question Number	Explain **one** purpose for a business of the statement of financial position. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for a purpose of the statement of financial position plus 2 further marks for explaining the purpose, for a maximum of 3 marks. • By reviewing its financial position, a business can see how the business is performing **(1)** it may decide to expand further if it has the funds **(1)** by introducing new products to sell **(1)** • If a business has liabilities **(1)** it may want to find ways to reduce its expenditure **(1)** by decreasing the amount of stock it holds **(1)** **NB** No marks are awarded for a definition. Answers that list three purposes with no explanation will gain 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Increase or decrease a value by a percentage

Answer 13 of 32 · Question 1 part e · 2 marks

2023 NOV · Paper 02 · extract 6 of 8 · find part e in this mark scheme extract

Question Number	Analyse the benefits to *Kraft Heinz* of using social media to collect market research data. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Social media is now widely used by many people around the world and it enables *Kraft Heinz* to collect global data quickly about a new variety of tomato sauce they have introduced • *Kraft Heinz* can set up links with a variety of people to collect their views on the changes they have made to Mac&Cheese **AO3** • This allows *Kraft Heinz* to gather valuable data which can be used when information on a product is needed to decide on carrying on or stopping the product • *Kraft Heinz* can analyse and evaluate quickly the views made by people and then make adjustments to products if needed	**(6)**

Type MS · Increase or decrease a value by a percentage

Answer 13 of 32 · Question 1 part e · 2 marks

2023 NOV · Paper 02 · extract 7 of 8 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Increase or decrease a value by a percentage

Answer 13 of 32 · Question 1 part e · 2 marks

2023 NOV · Paper 02 · extract 8 of 8 · find part e in this mark scheme extract

Question Number	State **one** task that the human resources would carry out at *Kraft Heinz* when recruiting an employee. **Answer**	Mark

Type MS · Increase or decrease a value by a percentage

Answer 14 of 32 · Question 1 part e · 2 marks

2024 JUN · Paper 02 (regional R) · extract 1 of 6 · find part e in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is A –** Continuous improvement **B** – is not the correct answer as just-in-time (JIT) is the arrival of supplies when needed **C** – is not the correct answer as market orientation is not manufacturing **D** – is not the correct answer as job production is where employees make one unit at a time	**(1)**

Q. No.	Which **one** of the following function areas would pay its employees' wages? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is A** - Finance **B** – is not the correct answer as Human resources deals with recruitment **C** – is not the correct answer as Marketing deals with the promotion of the product **D** – is not the correct answer as Production deals with the manufacture of goods	**(1)**

Q. No.	Which **one** of the following is the price of the shoes in pounds? **Answer**	**Mark**
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is B** – £594.54 **A** – is not the correct answer as £565.00 is 5.65 x 100 **C** – is not the correct answer as £3 353.48 is 3 359.13 – 5.65 **D** - is not the correct answer as £18 979.08 is 3 359.13 x 5.65	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 14 of 32 · Question 1 part e · 2 marks

2024 JUN · Paper 02 (regional R) · extract 2 of 6 · find part e in this mark scheme extract

Q. No.	Which **one** of the following is a benefit of being a sole trader? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is C** – Independence for the owner **A –** is not the correct answer as it is not easy for a sole trader to raise additional capital **B** – is not the correct answer as decisions are not shared **D** – is not the correct answer as sole traders do not have limited liability	**(1)**

Q. No.	Which **one** of the following is the closing balance for the business? **Answer**	Mark
1 (a) (v)	**AO1 - 1 mark** **The only correct answer is B** – £48 000 **A** – is not the correct answer as £44 000 is cash inflow plus cash outflow **C** – is not the correct answer as £55 000 is opening balance plus cash outflow **D** – is not the correct answer as £65 000 is opening balance plus cash inflow	**(1)**

Q. No.	Which **one** of the following is an advantage of primary market research? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** **The only correct answer is D** It is a more up to date method of research **A** – is not the correct answer as it is more expensive due to being tailor-made to the business **B** – is not the correct answer as primary research takes more time due to carrying out surveys **C** – is not the correct answer as primary market research is not always done by market research agencies	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 14 of 32 · Question 1 part e · 2 marks

2024 JUN · Paper 02 (regional R) · extract 3 of 6 · find part e in this mark scheme extract

Q. No.	Define the term **e-newsletter**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **e-newsletter.** • Information sent electronically by a business to its customers **(1)**	**(1)**

Q. No.	Define the term **minimum wage.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **minimum wage.** • The lowest legal hourly wage rate that can be paid to workers **(1)**	**(1)**

Q. No.	State **one** reason why *Jimmy Choo* would want loyal customers. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid reason why *Jimmy* Choo would want loyal customers in the context of the business. • If *Jimmy Choo* designs and manufactures handbags then existing customers are more likely to return to buy more handbags **(1)** • Loyal customers are more likely to return to buy new shoes **(1)** **NB** Do not accept a reason that is not in the context of *Jimmy Choo.* **Accept any other appropriate response.**	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 14 of 32 · Question 1 part e · 2 marks

2024 JUN · Paper 02 (regional R) · extract 4 of 6 · find part e in this mark scheme extract

Q. No.	Calculate, the predicted value of recycled plastic for 2027. You are advised to show your working. **Answer**	**Additional Guidance**	**Mark**
1 (e)	**A02 - 2 marks** 41.73 x 0.066 = 2.75 **(1)** 41.73 + 2.75 = 44.48 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Q. No.	Explain **one** reason why businesses comply with equal opportunities legislation. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for a valid reason why businesses comply with equal opportunities legislation, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Businesses comply with the law as it is a legal requirement. **(1)** They cannot discriminate against a person because of gender/race/age. **(1)** The business could be taken to court and sued if they do not comply **(1)** • If the business is not compliant with legislation **(1)** then employers **(1)** are liable to be sued **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Increase or decrease a value by a percentage

Answer 14 of 32 · Question 1 part e · 2 marks

2024 JUN · Paper 02 (regional R) · extract 5 of 6 · find part e in this mark scheme extract

Q. No.	Analyse **two** problems for *Jimmy Choo* if customer needs are not satisfied. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Customers may be disappointed with their shoes and will go elsewhere to buy their next pair • Revenue may fall if a new perfume does not meet the standard that customer need and want **AO3** • This could have a large impact on *Jimmy Choo*'s sales and profits • This could incur a loss of revenue and may impact further upon *Jimmy Choo*'s expansion plans	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2**) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Increase or decrease a value by a percentage

Answer 14 of 32 · Question 1 part e · 2 marks

2024 JUN · Paper 02 (regional R) · extract 6 of 6 · find part e in this mark scheme extract

Q. No.	State **one** non-financial objective *Jimmy Choo* might have. **Answer**	Mark

Type MS · Increase or decrease a value by a percentage

Answer 15 of 32 · Question 1 part a.iv · 1 mark

2024 NOV · Paper 02 · extract 1 of 8 · find part a.iv in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is D –** When total costs and total revenue are the same **A** – is not the correct answer as fixed and variable costs would not break-even **B** – is not the correct answer as total costs and fixed costs would not break-even **C** – is not the correct answer as fixed costs and total revenue would not break-even	**(1)**

Question Number	Which **one** of the following is a benefit to a franchisee? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** **The only correct answer is B –** The franchisee is given support from the franchisor **A** – is not the correct answer as the franchisee can only buy from the franchisor **C** – is not the correct answer as the wage will depend on sales made **D** – is not the correct answer as it is the franchisor who has total control	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 15 of 32 · Question 1 part a.iv · 1 mark

2024 NOV · Paper 02 · extract 2 of 8 · find part a.iv in this mark scheme extract

Question Number	Which **one** of the following is an advantage of job production when compared to other methods of production? **Answer**	Mark
1 (a) (iii)	**AO2 - 1 mark** **The only correct answer is A** – Workers will be better motivated **B** – is not the correct answer as production speeds will be slower **C** – is not the correct answer as the unit costs will be different for each product made **D** – is not the correct answer as more training will be needed for job production	**(1)**

Question Number	Which **one** of the following would be the total amount paid by a customer for a room? **Answer**	Mark
1 (a)(iv)	**AO1 - 1 mark** **The only correct answer is D –** 406.25 **A** – is not the correct answer as 81.25 is 25% of the 325 **B** – is not the correct answer as 243.75 is 325 minus 81.25 **C** – is not the correct answer as 350 is 325 plus 25	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 15 of 32 · Question 1 part a.iv · 1 mark

2024 NOV · Paper 02 · extract 3 of 8 · find part a.iv in this mark scheme extract

Question Number	Which **one** of the following is the percentage increase in revenue from 2021 to 2022. **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is C –** 209.62% **A** – is not the correct answer as 5.23% is 772.80 – 249.60 = 523.20/100 **B** – is not the correct answer as 67.70% is 772.80 – 249.60 = 523.20/772.80 x 100 **D** – is not the correct answer as 523.20% is 772.80 – 249.60	**(1)**

Question Number	Which **one** of the following is an internal source of finance for a business? **Answer**	Mark
1 (a)(vi)	**AO1 - 1 mark** **The only correct answer is C –** Personal savings is the only correct answer **A** - is not the correct answer as Crowdfunding is an external source of finance **B** – is not the correct answer as Loan capital is an external source of finance **D** – is not the correct answer as Venture capital is an external source of finance	**(1)**

Question Number	Define the term **job description.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **job description.** • It shows the tasks, duties, roles and responsibilities for a named job **(1)**	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 15 of 32 · Question 1 part a.iv · 1 mark

2024 NOV · Paper 02 · extract 4 of 8 · find part a.iv in this mark scheme extract

Question Number	Define the term **public corporation.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of a **public corporation.** • A business owned and controlled by a state/government **(1)**	**(1)**

Question Number	State **one** reason why *Premier Inn* managers would delegate tasks to hotel employees. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason why a *Premier Inn* managers would delegate tasks to hotel employees in the context of the business. • By delegating a task, the manager gains time to carry out other tasks such as greeting guests on arrival **(1)** • Employees may feel more motivated if they are trusted with additional jobs such as restocking the vending machines in public areas of the hotel **(1)** **NB** Do not accept a reason that is not in the context of *Premier Inn* **Accept any other appropriate response.**	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 15 of 32 · Question 1 part a.iv · 1 mark

2024 NOV · Paper 02 · extract 5 of 8 · find part a.iv in this mark scheme extract

Question Number	Calculate, to two decimal places, the price for the first night after the discount has been applied. You are advised to show your working. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 78.09 (2) **Or** 1 mark for workings if final answer incorrect 89.25 x 0.125 = 11.16**(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Increase or decrease a value by a percentage

Answer 15 of 32 · Question 1 part a.iv · 1 mark

2024 NOV · Paper 02 · extract 6 of 8 · find part a.iv in this mark scheme extract

Question Number	Explain **one** advantage of using focus groups when carrying out market research. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for an advantage of using focus groups when carrying out market research, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • By using focus groups researchers can talk directly to the people in the group **(1)** this means that they may get a more truthful answer **(1)** which may allow researchers to gain in-depth insights into consumers' thought, feelings and motivations **(1)** • Focus groups allow a variety of people to discuss the research being carried out **(1)** detailed notes of the discussion can be taken **(1)** which can then be used and analysed at a later date **(1)** **NB** No marks are awarded for a definition. Answers that list two advantages with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Increase or decrease a value by a percentage

Answer 15 of 32 · Question 1 part a.iv · 1 mark

2024 NOV · Paper 02 · extract 7 of 8 · find part a.iv in this mark scheme extract

Question Number	Analyse the benefits for India of these plans. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Building more hotels in India will provide greater job opportunities for the local population • The hotels will need employees with different skills such as chefs and waiters **AO3** • It will improve the overall Indian economy from increased taxes/revenue • It could reduce unemployment where the new hotels are built	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Increase or decrease a value by a percentage

Answer 15 of 32 · Question 1 part a.iv · 1 mark

2024 NOV · Paper 02 · extract 8 of 8 · find part a.iv in this mark scheme extract

Question Number	State **one** activity carried out by the marketing functional area at *Premier Inn*. **Answer**	**Mark**

Type MS · Increase or decrease a value by a percentage

Answer 16 of 32 · Question 1 part e · 2 marks

2025 JUN · Paper 02 · extract 1 of 6 · find part e in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is B - Engineering** **A** – is not the correct answer as coal mining is primary sector **C** - is not the correct answer as farming is primary sector **D** - is not the correct answer as insurance is tertiary sector	**(1)**

Q. No.	Which **one** of the following is an external source of finance? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is D – Bank loan** **A** – is not the correct answer as – selling assets is internal **B** - is not the correct answer as – retained profit is internal **C** - is not the correct answer as – personal savings is internal	**(1)**

Q. No.	Which **one** of the following is the percentage decrease in the price of a latte? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** **The only correct answer is C – 9.32%** **A** – is not the correct answer as 0.55% is 5.90 – 5.35 **B** - is not the correct answer as 2.94% is 5.90 – 5.35 x 5.35 **D** - is not the correct answer as 10.28% is 5.90 – 5.35/5.35 x 100	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 16 of 32 · Question 1 part e · 2 marks

2025 JUN · Paper 02 · extract 2 of 6 · find part e in this mark scheme extract

Q. No.	Which **one** of the following is the minimum number of owners in a partnership? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is B - 2** **A** – is not the correct answer as 1 is not a partnership **C** – is not the correct answer as 20 is not the minimum number of people needed **D** - is not the correct answer as 50 is not the minimum number of people needed	**(1)**

Q. No.	Which **one** of the following would be the price in Rupees to be a member in India? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is A – 413.48** **B** – is not the correct answer as 1105.08 is 92.09 x 12 **C** – is not the correct answer as 4134.84 is 920.90 x 4.49 **D** - is not the correct answer as 4961.81 is 4.49 x 12 x 92.09	**(1)**

Q. No.	Which **one** of the following is an external source of finance for managing immediate cash flow problems? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** **The only correct answer is D - overdraft** **A** – is not the correct answer as personal savings are an internal source of finance **B** – is not the correct answer as retained profit is an internal source of finance **C** - is not the correct answer as selling assets is an internal source of finance	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 16 of 32 · Question 1 part e · 2 marks

2025 JUN · Paper 02 · extract 3 of 6 · find part e in this mark scheme extract

Q. No.	Define the term **social enterprise.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **social enterprise**. • A business that aims to improve human or environmental well-being **(1)**	**(1)**

Q. No.	Define the term **tertiary sector**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **tertiary sector**. • Provides services to consumers and other sectors of industry **(1)**	**(1)**

Q. No.	State **one** reason why *Starbucks* wants to retain its employees. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid reason why *Starbucks* wants to retain its employees in the context of the business • By retaining its employees *Starbucks* does not have to train new employees on how to make the coffee it sells **(1)** • If employees remain at *Starbucks* they will become more proficient and may be promoted to a coffee master or a coffee manager **(1)** **NB** Do not accept a reason that is not in the context of *Starbucks.* Accept any appropriate response	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 16 of 32 · Question 1 part e · 2 marks

2025 JUN · Paper 02 · extract 4 of 6 · find part e in this mark scheme extract

Q. No.	Calculate, to **two** decimal places, the estimated total revenue in 2030. You are advised to show your working. **Answer**	**Additional Guidance**	**Mark**
1 (e)	**A02 - 2 marks** 165.7 x 1.3825 **(1)** = 229.08 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Q. No.	Explain **one** disadvantage for a business of training its employees. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a disadvantage for a business training its employees, plus 2 further marks, for a maximum of 3 marks. • Training employees takes a great deal of time **(1)** and needs existing employees to carry out the training **(1)** which can reduce the productivity of the business **(1)** • Existing employees have to be taught how to train employees **(1)** which incurs additional expense **(1)** for the business and there is no guarantee they are trained efficiently **(1)** **NB** No marks are awarded for a definition. Answers that list three disadvantages with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Increase or decrease a value by a percentage

Answer 16 of 32 · Question 1 part e · 2 marks

2025 JUN · Paper 02 · extract 5 of 6 · find part e in this mark scheme extract

Q. No.	Analyse the benefits for *Starbucks* of using batch production. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Starbucks* uses batch production means that they can produce cakes at a lower cost per unit • It maximises the use of kitchen equipment and reduces waste of ingredients for sandwiches **AO3** • Which ensure a uniform taste and quality across all locations • This decreases production time ensuring a wide range of sandwiches for sale	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout **(AO2)** • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Increase or decrease a value by a percentage

Answer 16 of 32 · Question 1 part e · 2 marks

2025 JUN · Paper 02 · extract 6 of 6 · find part e in this mark scheme extract

Q. No.	State **one** reason why *Starbucks* should have good communication with its customers. **Answer**	Mark

Type MS · Increase or decrease a value by a percentage

Answer 17 of 32 · Question 4 part a · 2 marks

2025 NOV · Paper 01 · extract 1 of 7 · find part a in this mark scheme extract

4 (a)	**A02 - 2 marks** Award 2 marks for the correct answer €849.52 **(2)** Award 1 mark for working 820 x 3.6% **(1)** **OR** 29.52 **(1)**	**(2)**

Type MS · Increase or decrease a value by a percentage

Answer 17 of 32 · Question 4 part a · 2 marks

2025 NOV · Paper 01 · extract 2 of 7 · find part a in this mark scheme extract

Question Number	Analyse the importance of cash to the success of *Ocean Vibes* **Indicative content**	Mark
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • *Ocean Vibes* requires cash to pay the wages and salaries of its boat tour guides and sales team • *Ocean Vibes* need cash to pay its overheads such as fuel and other equipment for the boat **AO3** • If *Ocean Vibes* is unable to pay the wages of the tour guides on time, the guides are likely to leave the business to work for a competitor • If *Ocean Vibes* runs out of cash and is unable to pay its liabilities, then the business may become insolvent and close down	**(6)**

Type MS · Increase or decrease a value by a percentage

Answer 17 of 32 · Question 4 part a · 2 marks

2025 NOV · Paper 01 · extract 3 of 7 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Increase or decrease a value by a percentage

Answer 17 of 32 · Question 4 part a · 2 marks

2025 NOV · Paper 01 · extract 4 of 7 · find part a in this mark scheme extract

Question Number	Evaluate the benefits to *Ocean Vibes* of operating as a franchise to further expand its business. You should use the information provided as well as your own knowledge of business. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • A franchise is a business that gives the right to another person or business to sell its products or services • The franchise receives set-up /royalty fees from the franchisee **AO2** • The franchisees can assist in the growth of *Ocean Vibes* by offering boat tours in other tourist resorts • *Ocean Vibes* will receive revenue from the franchisees operating in other tourist resorts in Portugal **AO3** • This will allow the brand name of *Ocean Vibes* to be extended to other areas of Portugal and encourage customer loyalty • The fees received by *Ocean Vibes* can be used to invest in the research of wildlife to fulfil the goal of Alfred and Pedro which is to connect tourism with science	

Type MS · Increase or decrease a value by a percentage

Answer 17 of 32 · Question 4 part a · 2 marks

2025 NOV · Paper 01 · extract 5 of 7 · find part a in this mark scheme extract

	AO4 • However, *Ocean Vibes* risk the chance of their reputation being damaged if the franchisees do not operate the boat tours in a responsible manner • However, there are many competitors in the boat tour market and Alfred and Pedro may fail to find franchisees who are willing to pay the franchise fees to *Ocean Vibes*	**(12)**

Type MS · Increase or decrease a value by a percentage

Answer 17 of 32 · Question 4 part a · 2 marks

2025 NOV · Paper 01 · extract 6 of 7 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Increase or decrease a value by a percentage

Answer 17 of 32 · Question 4 part a · 2 marks

2025 NOV · Paper 01 · extract 7 of 7 · find part a in this mark scheme extract

Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Increase or decrease a value by a percentage

Answer 18 of 32 · Question 1 part e · 2 marks

2019 JUN · Paper 01 (regional R) · extract 1 of 5 · find part e in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **B -** Overdraft	**(1)**

Question Number	Answer	Mark
1 (a)(ii)	**AO1 - 1 mark** **C –** Maturity	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO2 - 1 mark** **D -** Rent for *Lavender*'s businesses	**(1)**

Question Number	Answer	Mark
1 (a)(iv)	**AO1 - 1 mark** **A–** Health and safety	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **C –** 11 250	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO2 - 1 mark** **D** - 8 514.00	**(1)**

Question Number	Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of short-term finance. Money borrowed that must be paid back within 12 months **(1).**	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 18 of 32 · Question 1 part e · 2 marks

2019 JUN · Paper 01 (regional R) · extract 2 of 5 · find part e in this mark scheme extract

Question Number	Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of above the line promotion. The use of mass media methods to promote to a large audience **(1).**	**(1)**

Question Number	Answer	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a correct reason why *Lavender* would recruit internally in the context of the business. • Employees will know how the different outlets operate such as *L.cafe* **(1).** • Employee will already have knowledge of the cakes made by the business **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**AO2 - 2 marks** 25 x 12 = 300 15/100 x 300 = 45 300 – 45 **(1).** = 255 **(1).**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Increase or decrease a value by a percentage

Answer 18 of 32 · Question 1 part e · 2 marks

2019 JUN · Paper 01 (regional R) · extract 3 of 5 · find part e in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**AO1 - 3 marks** Award 1 mark for identification of an advantage, plus 2 further marks for explaining how this advantage will affect the business for a maximum of 3 marks. • The franchisee invests in a tried and tested business **(1)** and gets advice and training from the franchisor **(1)** this reduces the risk of failure **(1).** Answers that list more than one advantage with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Increase or decrease a value by a percentage

Answer 18 of 32 · Question 1 part e · 2 marks

2019 JUN · Paper 01 (regional R) · extract 4 of 5 · find part e in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Satisfied customers are more likely to repeat purchase of cakes from *Lavender* bakery. • *Lavender* is expanding into different types of food outlets such as *L.bistro, L.cafe* and *L.table.* **AO3** • This leads to an increase in sales and customer loyalty so *Lavender* could end up spending less on promoting their products as satisfied customers will recommend other *Lavender* businesses to their friends and family through word of mouth. • Customer satisfaction in one outlet may lead to customers trying other outlets leading to improved revenues.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Increase or decrease a value by a percentage

Answer 18 of 32 · Question 1 part e · 2 marks

2019 JUN · Paper 01 (regional R) · extract 5 of 5 · find part e in this mark scheme extract

Question Number	Answer	Mark

Type MS · Increase or decrease a value by a percentage

Answer 19 of 32 · Question 3 part c · 2 marks

2020 NOV · Paper 02 · extract 1 of 6 · find part c in this mark scheme extract

3 (a)	**A01 = 1 mark** Award 1 mark for a correct definition of hierarchical structure. • A structure with many levels (1).	**(1)**

Question Number	Answer	Mark
3 (b)	**A02 = 2 marks** Award 1 mark for identifying a reason why *Emirates* would have short chains of command, plus 1 further mark for linking it to the context of the question. • Communication between *Emirates'* employees involved in recycling would be quicker, and therefore, more accurate (1). Communication between these employees will only pass through a few levels before reaching the intended employee (1). **NB** Do not accept a reason that is not in the context of *Emirates.* **Accept any other appropriate response.**	**(2)**

Type MS · Increase or decrease a value by a percentage

Answer 19 of 32 · Question 3 part c · 2 marks

2020 NOV · Paper 02 · extract 2 of 6 · find part c in this mark scheme extract

Question Number	Answer	Additional guidance	Mark
3 (c)	**A02 = 2 marks** 13,457,776/100 x 12.5 = 1,682,222 (1) 13,457,776 – 1,682,222 = 11,775,554 (1) **OR** 13,457,776 x 0.125 = 1,682,222 (1) 13,457,776 – 1,682,222 = 11,775,554 (1)	Award 1 mark for substituting numbers into formula correctly. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Indicative content	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • As *Emirates* recycles all waste from its aircraft this is a good marketing technique. • *Emirates* wants to maintain its reputation as a business that cares about the environment and does this by reducing its fuel consumption. **AO3** • *Emirates* has a good record of recycling, which may prove attractive to people who care for the environment. They are more likely to use *Emirates* because of its environmental policies. • Although *Emirates* pollutes the environment by using fuel, it is now reducing that use and, therefore, has become less polluting.	**(6)**

Type MS · Increase or decrease a value by a percentage

Answer 19 of 32 · Question 3 part c · 2 marks

2020 NOV · Paper 02 · extract 3 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context, although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Increase or decrease a value by a percentage

Answer 19 of 32 · Question 3 part c · 2 marks

2020 NOV · Paper 02 · extract 4 of 6 · find part c in this mark scheme extract

Question Number	Indicative content	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • Option 1 – Increasing special offers encourages more passengers to fly with *Emirates*. • Option 2 – Many passengers will use social media and, therefore, it is a good way to advertise to a large number of potential passengers. **AO3** • Option 1 – This improves sales for *Emirates,* which helps it towards regaining its prime position against its competitors. • Option 2 – It is a quicker, more up-to-date and less expensive way to get information out to passengers and potential passengers. **AO4** • Option 1 – Although special offers help, it is the service and the way passengers are treated that improves the airline's status. • Option 2 – However, there is no control over social media and what is being said about *Emirates* by the users of social media.	**(9)**

Type MS · Increase or decrease a value by a percentage

Answer 19 of 32 · Question 3 part c · 2 marks

2020 NOV · Paper 02 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4–6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7–9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Increase or decrease a value by a percentage

Answer 19 of 32 · Question 3 part c · 2 marks

2020 NOV · Paper 02 · extract 6 of 6 · find part c in this mark scheme extract

Question Number	Answer	Additional guidance	Mark

Type MS · Increase or decrease a value by a percentage

Answer 20 of 32 · Question 1 part e · 2 marks

2021 NOV · Paper 01 · extract 1 of 5 · find part e in this mark scheme extract

Question Number	Answer	Mark
1 (a) (i)	**AO1 - 1 mark** **D** Human Resources	**(1)**

Question Number	Answer	Mark
1 (a) (ii)	**AO1 - 1 mark** **B** Selling assets	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO1 - 1 mark** **C** Cost of sales	**(1)**

Question Number	Answer	Mark
1 (a) (iv)	**AO1 - 1 mark** **A** Taxation	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **C** 250%	**(1)**

Question Number	Answer	Mark
1 (a) (vi)	**AO2 - 1 mark** **D** S$42.08	**(1)**

Question Number	Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of diseconomies of scale. • An increase in average cost per units **(1)**.	**(1)**

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Answer 20 of 32 · Question 1 part e · 2 marks

2021 NOV · Paper 01 · extract 2 of 5 · find part e in this mark scheme extract

Question Number	Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of job production. • A method of production that involves completing one unit of output at a time **(1).**	**(1)**

Question Number	Answer	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a financial method of motivation *Artify Studio* could use to motivate its employee in the context of the business. • Employees could be given commission for any art materials they sell **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**AO2 - 2 marks** 285 x 0.12 = 34.20 **(1)** 285 – 34.20 = 250.80 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

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Type MS · Increase or decrease a value by a percentage

Answer 20 of 32 · Question 1 part e · 2 marks

2021 NOV · Paper 01 · extract 3 of 5 · find part e in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a measure of success, plus 2 further marks for explaining this measure, for a maximum of 3 marks. • Market share can be used to measure the success of a business **(1).** Changes in market share will show how well or not the business is doing **(1)** and help them to make decisions for the business **(1).** **NB** Answers that list three measures of success with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Lower interest rates could lead to an increase in the demand for the popular Liberty Art Jam sessions. • The cost of borrowing comes down so *Artify Studio* could pay less on any loans they take out. **AO3** • *Artify Studio* may need to put on additional sessions to cater for the increase in demand, this will lead to an increase in costs but as sales increase this can cover this cost. • This will enable *Artify Studio* to have more funds available to increase advertising and bring in more customers.	**(6)**

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Type MS · Increase or decrease a value by a percentage

Answer 20 of 32 · Question 1 part e · 2 marks

2021 NOV · Paper 01 · extract 4 of 5 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

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Answer 20 of 32 · Question 1 part e · 2 marks

2021 NOV · Paper 01 · extract 5 of 5 · find part e in this mark scheme extract

Question Number	Answer	Mark

Type MS · Increase or decrease a value by a percentage

Answer 21 of 32 · Question 4 part a · 2 marks

2022 JUN · Paper 01 (regional R) · extract 1 of 5 · find part a in this mark scheme extract

4 (a)	**A02 - 2 marks** 38.40 x 12 = 460.80 460.80 x 0.125 = 57.60 **(1)** 460.80 – 57.60 = 403.20 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Increase or decrease a value by a percentage

Answer 21 of 32 · Question 4 part a · 2 marks

2022 JUN · Paper 01 (regional R) · extract 2 of 5 · find part a in this mark scheme extract

Question Number	Analyse the importance of *Can Culleretes* responding to changes in its market. **Indicative content**	Mark
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • Montserrat and Alicia need to keep up with changing customer tastes if they want to remain competitive • As the second oldest restaurant in Spain it may place no importance in responding to changes in the market **AO3** • They are located in a busy area and want to make sure customers are drawn to them over the other restaurants in the area • Despite the market changing customers are drawn to *Can Culleretes* because of it being a family run business and its long history so may see no need to change if it is successful enough as it is	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Increase or decrease a value by a percentage

Answer 21 of 32 · Question 4 part a · 2 marks

2022 JUN · Paper 01 (regional R) · extract 3 of 5 · find part a in this mark scheme extract

Question Number	Evaluate the impact of using venture capital as a source of finance to fund the opening of *Can Culleretes*. You should use the information provided as well as your own knowledge of business. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • Venture capital is when investors give a business money in exchange for a share of the profits. • Venture capital is an external source of finance often used for opening new businesses. **AO2** • Investors may have the skills in the food industry to ensure Can Café is a success. • Investors could have some ideas that the family does not like such as the opening hours of the café. **AO3** • By using this source of finance Can Café will have enough money to set up without having to pay back any interest helping the business to have more chance of it being a success from the start. • If the investors are too involved in setting up the business it may lose the historical story behind the original business leading to customers staying away from the café. **AO4** • However, the family will have to pay the investors a share of the profits which may upset the other family members as they are the ones working hard to set up Can Café but the investors get the rewards. • However, if the owners had an agreement to pay the investors back and then take back full ownership it could ensure the success of both business as well as keeping them in the family in the long term.	**(12)**

Type MS · Increase or decrease a value by a percentage

Answer 21 of 32 · Question 4 part a · 2 marks

2022 JUN · Paper 01 (regional R) · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

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Answer 21 of 32 · Question 4 part a · 2 marks

2022 JUN · Paper 01 (regional R) · extract 5 of 5 · find part a in this mark scheme extract

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Answer 22 of 32 · Question 4 part a · 2 marks

2022 JUN · Paper 01 · extract 1 of 5 · find part a in this mark scheme extract

4 (a)	**A02 - 2 marks** 22.80 x 17 387.60 x 0.15 = 58.14 **(1)** 387.60 – 58.14 = 329.46 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Analyse the usefulness to *TBTS* of the acid test ratio. **Indicative content**	**Mark**
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • *TBTS* can find it useful to use these ratios as they can see it increases from 0.75 in 2018 to 0.88 in 2020 • *TBTS* can use it to see that they may need to take out any short-term finance for new projects such as the range of new toys for 4-year-olds **AO3** • This can help *TBTS* see if they have enough cash to cover any short-term debts to creditors such suppliers of toys and help them to keep a good relationship with the suppliers by paying on time. • The ratios show they need to be cautious as each year the acid test ratio is below 1	**(6)**

Type MS · Increase or decrease a value by a percentage

Answer 22 of 32 · Question 4 part a · 2 marks

2022 JUN · Paper 01 · extract 2 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Increase or decrease a value by a percentage

Answer 22 of 32 · Question 4 part a · 2 marks

2022 JUN · Paper 01 · extract 3 of 5 · find part a in this mark scheme extract

Question Number	Evaluate the importance of good internal and external communication to *TBTS*. You should use the information provided as well as your own knowledge of business. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • Internal communication can be between owners and employees. • External communication can be between owners and various stakeholders such as suppliers and customers. **AO2** • *TBTS* need to make sure all employees are aware of the toys it sells and the aims of the business. • *TBTS* can use various external methods to communicate with its suppliers of toys and wooden materials. **AO3** • It can create better relationships leading to lower staff turnover and making them feel more valued and part of a team. • Good communication with its suppliers could lead to improved relationship between *TBTS* and its suppliers as it keeps them up to date with its business activity. **AO4** • However, communication has to be good for all employees or some may feel left out leading to animosity between the employees. • However, if the communication is poor the relationship would not work and *TBTS* could find that it loses suppliers.	**(12)**

Type MS · Increase or decrease a value by a percentage

Answer 22 of 32 · Question 4 part a · 2 marks

2022 JUN · Paper 01 · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

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Answer 22 of 32 · Question 4 part a · 2 marks

2022 JUN · Paper 01 · extract 5 of 5 · find part a in this mark scheme extract

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Answer 23 of 32 · Question 3 part c · 2 marks

2022 JUN · Paper 02 (regional R) · extract 1 of 6 · find part c in this mark scheme extract

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of **public relations.** • Building and maintaining a favourable image of a business for its products **(1)**	**(1)**

Question Number	Outline **one** reason why *Cadbury* interviews shortlisted candidates for vacancies in its functional areas. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying a reason why *Cadbury* interviews people that are shortlisted for a vacancy, plus 1 further mark for linking it to the context of the question. • So that *Cadbury* can check that the applicants interviewed match the details in their CV **(1)** and assess whether they are suitable to work in chocolate production line **(1)** **NB** Do not accept a reason that is not in the context of *Cadbury.* **Accept any other appropriate response.**	**(2)**

Type MS · Increase or decrease a value by a percentage

Answer 23 of 32 · Question 3 part c · 2 marks

2022 JUN · Paper 02 (regional R) · extract 2 of 6 · find part c in this mark scheme extract

Question Number	Calculate the donation *Cadbury* made in 2018. Answer	Additional guidance	Mark
3 (c)	**A02 - 2 marks** 7 617 600 × 0.012 = 91 411.20 **(1)** 7 617 600 – 91 411.20 = 7 526 188.80 **(1)** **OR** 7 617 600 x 0.988 **(1)** = 7 526 188.80 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Analyse why some governments have introduced legislation to reduce the amount of sugar in chocolate. Indicative content	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** <u>AO2</u> • By introducing legislation to reduce the amount of sugar in chocolate bars means that this would reduce the sugar levels for its customers • The legislation would help reduce the demands and impact on the health service as fewer customers will need its services <u>AO3</u> • Consuming too much sugar can have other effects on the body such as being overweight • It could reduce the costs of health-related illnesses thereby benefiting the overall health of the country	**(6)**

Type MS · Increase or decrease a value by a percentage

Answer 23 of 32 · Question 3 part c · 2 marks

2022 JUN · Paper 02 (regional R) · extract 3 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Increase or decrease a value by a percentage

Answer 23 of 32 · Question 3 part c · 2 marks

2022 JUN · Paper 02 (regional R) · extract 4 of 6 · find part c in this mark scheme extract

Question Number	**Option 1:** batch production **Option 2:** flow production. Indicative content	Mark
3 (e)	AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks <u>AO2</u> • **Option 1** – With batch production, if Dinky Deckers is not popular, they can limit or stop production of them • **Option 2** – By using this method they can ensure that there will be sufficient Dinky Deckers available for all its customers wanting to try the new chocolate bars <u>AO3</u> • **Option 1** – By limiting the number produced it could encourage more customers to want to purchase the chocolate bar • **Option 2** – Shops/supermarkets will have a continuous supply of the new chocolate bar <u>AO4</u> • **Option 1** – However, this method of production can be more expensive because of time spent changing the machines to produce Dinky Deckers • **Option 2** – However, there is no guarantee on how popular the Dinky Deckers will be and if it will sell well; *Cadbury* could be left with a large quantity of unsold Dinky Deckers	**(9)**

Type MS · Increase or decrease a value by a percentage

Answer 23 of 32 · Question 3 part c · 2 marks

2022 JUN · Paper 02 (regional R) · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Increase or decrease a value by a percentage

Answer 23 of 32 · Question 3 part c · 2 marks

2022 JUN · Paper 02 (regional R) · extract 6 of 6 · find part c in this mark scheme extract

Question Number	Calculate, to two decimal places, the gross profit margin. Answer	Additional guidance	Mark

Type MS · Increase or decrease a value by a percentage

Answer 24 of 32 · Question 1 part e · 2 marks

2023 JUN · Paper 01 · extract 1 of 7 · find part e in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is C – Marketing** **A –** Human resources – this is not the correct answer as it is responsible for employees **B** – Finance – this is not the correct answer as it is responsible for money **D** – Production – this is not the correct answer as it is responsible for making goods	**(1)**

Question Number	Which **one** of the following is the difference between cash inflow and cash outflow? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is B – Net cash flow** **A –** Opening balance – this is not correct as it is the amount of cash a business expects to have at the start of a month **C –** Closing balance - this is not correct as it is the amount of cash a business expects to have at the end of a month **D –** Cash flow forecast - this is not correct as it is the account which predicts expected receipts and expenses over a future time period	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 24 of 32 · Question 1 part e · 2 marks

2023 JUN · Paper 01 · extract 2 of 7 · find part e in this mark scheme extract

Question Number	Which **one** of the following is the sector that converts raw materials into products? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D – Secondary** **A** – Public – this is not correct as it is business organisations owned by government **B** – Tertiary – this is not correct as it is the provider of services **C** – Primary – this is not correct as it is the extraction of raw materials from the earth	**(1)**

Question Number	Which **one** of the following is an example of a good? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is A – Motor vehicle** **B –** Financial advice - this is not correct as it is an example of a service **C –** Car washing– this is not correct as it is an example of a service **D –** Gardening – this is not correct as it is an example of a service	**(1)**

Question Number	Which **one** of the following would be a 3% increase in revenue for *Irsi Chocolatier*? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is C – €320 973.75** **A –** €317 857.50 – this is not the correct answer as it is an increase of 2% **B –** €319 415.63 – this is not the correct answer as it is an increase of 2.5% **D –** €322 531.88 – this is not the correct answer as it is an increase of 3.5%	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 24 of 32 · Question 1 part e · 2 marks

2023 JUN · Paper 01 · extract 3 of 7 · find part e in this mark scheme extract

Question Number	Which **one** of the following is the break-even point when a box of luxury chocolates is priced at €15.10? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is B – 76** **A –** 75 – this is not the correct answer as it is the correct answer minus one **C –** 77 – this is not the correct answer as it is the correct answer plus one **D –** 78 – this is not the correct answer as it is the correct answer plus two	**(1)**

Question Number	Define the term **limited liability** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **limited liability**. • When the business owner is only responsible for the original amount of money invested in the business **(1)**	**(1)**

Question Number	Define the term **social enterprise** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **social enterprise**. • A business that aims to improve human or environmental well-being **(1)**	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 24 of 32 · Question 1 part e · 2 marks

2023 JUN · Paper 01 · extract 4 of 7 · find part e in this mark scheme extract

Question Number	State **one** way *Irsi Chocolatier* could use the Boston matrix. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a way *Irsi Chocolatier* could use the Boston matrix • *Irsi Chocolatier* could use the dog category to see the chocolates that are not worth making anymore **(1)** **NB** Do not accept a way that is not in the context of *Irsi Chocolatier*. **Accept any other appropriate response.**	**(1)**

Question Number	Calculate, to two decimal places, the cost of these chocolates after the discount has been applied. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 75.50 x 0.06 = 4.53 **(1)** 75.50 – 4.53 = 70.97 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Increase or decrease a value by a percentage

Answer 24 of 32 · Question 1 part e · 2 marks

2023 JUN · Paper 01 · extract 5 of 7 · find part e in this mark scheme extract

Question Number	Explain **one** benefit for a business that uses test marketing. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a benefit for a business that uses test marketing, plus 2 further marks for explaining the benefit, for a maximum of 3 marks. • The risk of failure is reduced **(1)** as the new product is only tested in one area gaining feedback from customers **(1)** leading to modifications being made before the final launch **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Increase or decrease a value by a percentage

Answer 24 of 32 · Question 1 part e · 2 marks

2023 JUN · Paper 01 · extract 6 of 7 · find part e in this mark scheme extract

Question Number	Analyse the importance of branding for *Irsi Chocolatier*. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • As a business that started in 1989 it has been able to develop and maintain a strong image for its chocolates and sweets • Branding against local competing chocolate shops helps *Irsi Chocolatier* stand out **AO3** • This is important as the brand helps create recognition of the business allowing *Irsi Chocolatier* to continue as a long-standing business • As the brand becomes stronger a higher price for the products can be charged and new products being introduced have a higher success rate due to its current branding	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Increase or decrease a value by a percentage

Answer 24 of 32 · Question 1 part e · 2 marks

2023 JUN · Paper 01 · extract 7 of 7 · find part e in this mark scheme extract

Question Number	State **one** method *Irsi Chocolatier* could use to improve its competitive position. **Answer**	Mark

Type MS · Increase or decrease a value by a percentage

Answer 25 of 32 · Question 1 part e · 2 marks

2023 NOV · Paper 01 · extract 1 of 6 · find part e in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is C** **A** is not the correct answer as sales is shown on the statement of comprehensive income **B** is not the correct answer as cost of sales is shown on the statement of comprehensive income **D** is not the correct answer as gross profit is shown on the statement of comprehensive income	**(1)**

Question Number	Which **one** of the following is an element of the marketing mix? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is A** **B** is not the correct answer as a partnership is when 2 or more people own a business together **C** is not the correct answer as production is the manufacturing of goods **D** is not the correct answer as profit is the difference between total revenue and total costs	**(1)**

Question Number	**(iii)** Which **one** of the following is the total monthly cost? **Answer**	**Mark**
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D** **A** is not the correct answer as it is the sum of total fixed costs and variable costs for one unit **B** is not the correct answer as it is the sum of fixed costs plus output quantity **C** is not the correct answer as it is the sum of fixed costs multiplied by the variable cost	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 25 of 32 · Question 1 part e · 2 marks

2023 NOV · Paper 01 · extract 2 of 6 · find part e in this mark scheme extract

Question Number	Which **one** of the following job roles is most likely associated with capital-intensive production? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is B** **A** is not the correct answer as the role of a hairdresser is labour intensive **C** is not the correct answer as the role of a fruit picker is labour intensive **D** is not the correct answer as the role of a chef is labour intensive	**(1)**

Question Number	Which **one** of the following is an internal source of finance? **Answer**	Mark
1 (a) (v)	**AO1 - 1 mark** **The only correct answer is C** **A** is not the correct answer as an overdraft is an external source of finance **B** is not the correct answer as venture capital is an external source of finance **D** is not the correct answer as crowdfunding is an external source of finance	**(1)**

Question Number	Which **one** of the following is the weekly break-even point? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C** **A** is not the correct answer as this represents the wrong fixed costs of 44 000 divided by the contribution of 5 500 **B** is not the correct answer as this represents the fixed costs of 440 000 divided by the selling price of 8 000 **D** is not the correct answer as this represents the fixed costs of 440 000 divided by the variable cost per unit of 2 500	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 25 of 32 · Question 1 part e · 2 marks

2023 NOV · Paper 01 · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Define the term **profit.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **profit** • The amount remaining when total costs are deducted from total revenue **(1)**	**(1)**

Question Number	Define the term **span of control.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **span of control**. • The number of workers controlled by one manager **(1)**	**(1)**

Question Number	State **one** likely variable cost for *AWG.* **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for one variable cost for *AWG* • *AWG* will have to pay for the cost of wool used to make the jumpers **(1)** **NB** Do not accept a variable cost that is not in the context of *AWG*. **Accept any appropriate response.**	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 25 of 32 · Question 1 part e · 2 marks

2023 NOV · Paper 01 · extract 4 of 6 · find part e in this mark scheme extract

Question Number	Calculate, to **two** decimal places, the new price of the jumper in the promotional sale. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 329 x 0.25 = 82.25 **(1)** 329 - 82.25 = 246.75 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** benefit to a business that operates as a sole trader. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a benefit to a business that operates as a sole trader, plus 2 further marks for explaining the benefit, for a maximum of 3 marks. • Independence of the owner **(1)** which means they can make decision without reference to anyone else **(1)** eliminating any conflicts or disagreements within the business **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any appropriate response.**	**(3)**

Type MS · Increase or decrease a value by a percentage

Answer 25 of 32 · Question 1 part e · 2 marks

2023 NOV · Paper 01 · extract 5 of 6 · find part e in this mark scheme extract

Question Number	Analyse the advantages to *AWG* of using e-commerce to sell its products. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *AWG* sells its shirts on-line to customers based in other countries • *AWG* uses a website to advertise its baby clothes to attract new customers **AO3** • This helps create recognition of the business internationally allowing *AWG* to increase its sales revenue. • This helps to reduce the costs for *AWG* as selling online is less expensive than opening stores in other countries.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Increase or decrease a value by a percentage

Answer 25 of 32 · Question 1 part e · 2 marks

2023 NOV · Paper 01 · extract 6 of 6 · find part e in this mark scheme extract

Question Number	State **one** non-financial method *AWG* may use to motivate its employees. **Answer**	**Mark**

Type MS · Increase or decrease a value by a percentage

Answer 26 of 32 · Question 1 part a.iv · 1 mark

2023 NOV · Paper 02 · extract 1 of 8 · find part a.iv in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** The only correct answer is **D** Focus groups **A** is incorrect as published government statistics is secondary market research **B** is incorrect as a magazine article is secondary market research **C** is incorrect as internet research is secondary market research	**(1)**

Question Number	Which **one** of the following is an example of external communication? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** The only correct answer is **B** Sending a customer details of a special offer **A** Is incorrect as a presentation by the chairperson to employees is an internal communication **C** Is incorrect as a departmental meeting is an internal communication **D** Is incorrect as training sessions for new employees is an internal communication	**(1)**

Question Number	Which **one** of the following is the percentage decrease in the share price? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** The only correct answer is **C** 4.08% **A** is incorrect as 1.49 is 36.55 - 35.06 **B** is incorrect as 1.96 is 36.55 + 35.06/36.55 **D** is incorrect as 4.25 is 36.55 - 35.06 = 1.49/35.06 x 100	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 26 of 32 · Question 1 part a.iv · 1 mark

2023 NOV · Paper 02 · extract 2 of 8 · find part a.iv in this mark scheme extract

Question Number	Which **one** of the following is the price of 12 tins of baked beans with the 12.5% promotional price discount? **Answer**	Mark
1 (a)(iv)	**AO1 - 1 mark** The only correct answer is **A** $5.67 **B** is incorrect as $6.48 = 0.54 x 12 **C** is incorrect as $56.25 = 54 ÷ 12 x 12.5 **D** is incorrect as $81.00 = 0.54 x 12 x 12.5	**(1)**

Question Number	Which **one** of the following would be a long-term source of finance for a sole trader? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** The only correct answer is **C** Personal savings **A** is incorrect as trade credit is not long term **B** is incorrect as overdraft is not long term **D** is incorrect as share capital is not available for sole traders	**(1)**

Question Number	Which **one** of the following is the break-even point? **Answer**	Mark
1 (a)(vi)	**AO1 - 1 mark** The only correct answer is **D** **A** is incorrect as it is the total revenue **B** is incorrect as it is the total costs **C** is incorrect as it is the fixed costs	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 26 of 32 · Question 1 part a.iv · 1 mark

2023 NOV · Paper 02 · extract 3 of 8 · find part a.iv in this mark scheme extract

Question Number	Define the term **labour intensive production.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **labour intensive production.** • A production method that makes more use of labour than machines/capital **(1)**	**(1)**

Question Number	Define the term **trade bloc.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **trade bloc.** • A group of countries that join together to protect themselves from imports from non-members **(1)**	**(1)**

Question Number	State **one** reason why *Kraft Heinz* prefers to train its employees using on-the-job training. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid reason why *Kraft Heinz* prefers to train its employees using on-the-job training in the context of the business. • Employees will know the ingredients for tomato sauce and how it is made **(1)** • Employees are shown the production process of baked beans **(1)** **NB** Do not accept a reason that is not in the context of *Kraft Heinz* **Accept any other appropriate response.**	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 26 of 32 · Question 1 part a.iv · 1 mark

2023 NOV · Paper 02 · extract 4 of 8 · find part a.iv in this mark scheme extract

Question Number	Calculate the total pay an employee would receive once the bonus is added to their salary. You are advised to show your working. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 15 750 x 0.14 **(1)** = 2 205 15 750 + 2 205 = 17 955 **(1)** **OR** 15 750 x 1.14 = 17 955 **(2)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Increase or decrease a value by a percentage

Answer 26 of 32 · Question 1 part a.iv · 1 mark

2023 NOV · Paper 02 · extract 5 of 8 · find part a.iv in this mark scheme extract

Question Number	Explain **one** purpose for a business of the statement of financial position. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for a purpose of the statement of financial position plus 2 further marks for explaining the purpose, for a maximum of 3 marks. • By reviewing its financial position, a business can see how the business is performing **(1)** it may decide to expand further if it has the funds **(1)** by introducing new products to sell **(1)** • If a business has liabilities **(1)** it may want to find ways to reduce its expenditure **(1)** by decreasing the amount of stock it holds **(1)** **NB** No marks are awarded for a definition. Answers that list three purposes with no explanation will gain 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Increase or decrease a value by a percentage

Answer 26 of 32 · Question 1 part a.iv · 1 mark

2023 NOV · Paper 02 · extract 6 of 8 · find part a.iv in this mark scheme extract

Question Number	Analyse the benefits to *Kraft Heinz* of using social media to collect market research data. **Indicative content**	**Mark**
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Social media is now widely used by many people around the world and it enables *Kraft Heinz* to collect global data quickly about a new variety of tomato sauce they have introduced • *Kraft Heinz* can set up links with a variety of people to collect their views on the changes they have made to Mac&Cheese **AO3** • This allows *Kraft Heinz* to gather valuable data which can be used when information on a product is needed to decide on carrying on or stopping the product • *Kraft Heinz* can analyse and evaluate quickly the views made by people and then make adjustments to products if needed	**(6)**

Type MS · Increase or decrease a value by a percentage

Answer 26 of 32 · Question 1 part a.iv · 1 mark

2023 NOV · Paper 02 · extract 7 of 8 · find part a.iv in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Increase or decrease a value by a percentage

Answer 26 of 32 · Question 1 part a.iv · 1 mark

2023 NOV · Paper 02 · extract 8 of 8 · find part a.iv in this mark scheme extract

Question Number	State **one** task that the human resources would carry out at *Kraft Heinz* when recruiting an employee. **Answer**	**Mark**

Type MS · Increase or decrease a value by a percentage

Answer 27 of 32 · Question 1 part e · 2 marks

2024 JUN · Paper 01 (regional R) · extract 1 of 6 · find part e in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is C – Retained profit** **A** is not the correct answer as an overdraft is an external source of finance **B** is not the correct answer as crowdfunding is an external source of finance **D** is not correct answer as share capital is an external source of finance	**(1)**

Question Number	Which **one** of the following is a result of average costs rising in a large business? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is B – diseconomies of scale** **A** is not the correct answer as economies of scale are as a result of average costs falling due to an increase in size **C** is not the correct answer as purchasing economies are when large businesses can buy resources at a cheaper rate **D** is not the correct answer as financial economies are when large businesses can borrow money at a cheaper rate	**(1)**

Question Number	Which **one** of the following is the money left after all costs have been subtracted from revenue? **Answer**	**Mark**
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D - Profit** **A** is not the correct answer as gross profit is the profit after the cost of producing the product **B** is not the correct answer as inflows are payments into a business **C** is not the correct answer as a loss will come when there is a minus figure after costs have been subtracted from revenue	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 27 of 32 · Question 1 part e · 2 marks

2024 JUN · Paper 01 (regional R) · extract 2 of 6 · find part e in this mark scheme extract

Question Number	Which **one** of the following is a debt payable after 12 months? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is A – non-current liability** **B** is not the correct answer as a current liability is a debt that is payable within 12 months **C** is not the correct answer as a non-current asset is one that lasts for more than one year **D** is not the correct answer as a current asset is likely to be turned into cash within a year	**(1)**

Question Number	Which **one** of the following is the markup for the mozzarella cheese and avocado Ciabatta? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is C – 107%** **A** is not the correct answer as 48% is 2.56/5.30 x100 **B** is not the correct answer as 93% is 2.56/2.74 x100 **D** is not the correct answer as 207% is 5.30/2.56 x100	**(1)**

Question Number	Which **one** of the following would *Café Pinch* pay in euros if it bought 50 kilos of potatoes? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is B - €48.81** **A** is not the correct answer as €59.52 is 50kg / £0.84 **C** is not the correct answer as €42.00 is 50kg x £0.84 **D** is not the correct answer as €41.00 is 50kg x £0.82	**(1)**

Question Number	Define the term **variable cost** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **variable cost.** • A cost that changes directly with output **(1)**	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 27 of 32 · Question 1 part e · 2 marks

2024 JUN · Paper 01 (regional R) · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Define the term **niche marketing.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **niche marketing**. • Targeting a smaller segment of a market **(1)**	**(1)**

Question Number	State **one** way *Café Pinch* can react to external social factors affecting its business. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a way *Café Pinch* can react to the social factors affecting its business in the context of the business. • They can change their menu to suit people becoming more health conscious **(1)** **NB** Do not accept a way that is not in the context of *Café Pinch.* **Accept any other appropriate response.**	**(1)**

Question Number	Calculate what a customer would pay for these three items after the discount is applied. **Answer**	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 14.00 x 0.05 = 0.70 **(1)** 14.00 – 0.70 = 13.30 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Increase or decrease a value by a percentage

Answer 27 of 32 · Question 1 part e · 2 marks

2024 JUN · Paper 01 (regional R) · extract 4 of 6 · find part e in this mark scheme extract

Question Number	Explain **one** advantage to a start-up business of using a venture capitalist. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of an advantage of using a venture capitalist, plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • Venture capitalists can be specialists **(1)** who may bring skills and new ideas to the business **(1)** giving it a greater chance of success **(1)** **NB** Answers that list three advantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Increase or decrease a value by a percentage

Answer 27 of 32 · Question 1 part e · 2 marks

2024 JUN · Paper 01 (regional R) · extract 5 of 6 · find part e in this mark scheme extract

Question Number	Analyse the importance to Kumaran, the owner of *Café Pinch,* of having motivated employees. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • If waiters serving customers are motivated, they will provide a good service when serving food and drink • If the chefs are motivated, they can come up with new dishes to enhance the menu **AO3** • If the employees/waiters remain motivated, they will continue to want to meet the needs of customers encouraging those customers to keep coming back to the business • This could lead to staff retention and lower recruitment costs	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Increase or decrease a value by a percentage

Answer 27 of 32 · Question 1 part e · 2 marks

2024 JUN · Paper 01 (regional R) · extract 6 of 6 · find part e in this mark scheme extract

Question Number	State **one** reason why *Café Pinch* might set business objectives. **Answer**	Mark

Type MS · Increase or decrease a value by a percentage

Answer 28 of 32 · Question 1 part e · 2 marks

2024 JUN · Paper 02 · extract 1 of 6 · find part e in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** The only correct answer is **B -** Personal satisfaction **A** – is not the correct answer as generating wealth is a financial objective **C** - is not the correct answer as maximising profit is a financial objective **D** - is not the correct answer as regular income is a financial objective	**(1)**

Q. No.	Which **one** of the following would be a benefit to a business delaying paying its suppliers? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** The only correct answer is **A -** Improved cash flow **B** – is not the correct answer as profit would not be greater if you delayed paying suppliers **C** - is not the correct answer as suppliers would want more interest on the outstanding amount **D** - is not the correct answer as delaying payment would have the opposite effect on suppliers	**(1)**

Q. No.	Which **one** of the following would be the total monthly cost for *Jewellery For You*?	**Mark**
1 (a) (iii)	**AO1 - 1 mark** The only correct answer is **B -** €3 480 **A** – is not the correct answer as €924 is 27 x 12 + 600 **C** - is not the correct answer as €6 480 is 240 x 27 **D** - is not the correct answer as €7 080 is 240 x 27 + 600	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 28 of 32 · Question 1 part e · 2 marks

2024 JUN · Paper 02 · extract 2 of 6 · find part e in this mark scheme extract

Q. No.	Which **one** of the following is a reason why a business would produce a cash flow forecast? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** The only correct answer is **C -** It can help a bank decide whether it should lend money to a business **A** – is not the correct answer as it is not a legal requirement that a business has a cash flow forecast **B** – is not the correct answer as a cash flow forecast does not ensure that the business will be successful **D** - is not the correct answer as a forecast does not show the profit and loss of a business in the past six months	**(1)**

Q. No.	Which **one** of the following was the cost of the holiday in Thai Baht? **Answer**	Mark
1 (a) (v)	**AO1 - 1 mark** The only correct answer is **C -** 40 828.18 **A** – is not the correct answer as 24.20 is 998 ÷ 40.91 **B** – is not the correct answer as 1038.91 is 998 + 40.91 **D** - is not the correct answer as 40 869.09 is 998 x 40.91 + 40.91	**(1)**

Q. No.	Which **one** of the following is a reason why a sole trader would want to become a private limited company? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** The only correct answer is **D -** Increased ability to raise finance **A** – is not the correct answer as the business would have to publish its financial records so therefore not confidential **B** – is not the correct answer as the private limited company would have limited liability **C** - is not the correct answer as shareholders are not liable for all debts	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 28 of 32 · Question 1 part e · 2 marks

2024 JUN · Paper 02 · extract 3 of 6 · find part e in this mark scheme extract

Q. No.	Define the term **franchise**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **franchise** • A business allows another operator to trade under its name **(1)**	**(1)**

Q. No.	Define the term **profit**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **profit** • Funds that are left over after all costs have been subtracted from the revenue **(1)**	**(1)**

Q. No.	State **one** reason why *TUI* pays its employees above the minimum wage. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid reason why *TUI* pays its employees above the minimum wage in the context of the business • By *TUI* paying its employees above the minimum wage they are more likely to remain with *TUI* and their knowledge of cruises and holidays will not be lost **(1)** • Employees will feel more valued and gain more knowledge and experience of the travel industry that they could pass on to potential customers **(1)** **NB** Do not accept a reason that is not in the context of *TUI.* Accept any appropriate response	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 28 of 32 · Question 1 part e · 2 marks

2024 JUN · Paper 02 · extract 4 of 6 · find part e in this mark scheme extract

Q. No.	Calculate the total price of a holiday for **two** adults with a 12.5% promotional discount for booking online. **Answer**	**Additional Guidance**	**Mark**
1 (e)	**A02 - 2 marks** 725.92 x 2 = 1451.84 1451.84 x 0.125 = 181.48 **(1)** 1451.84 – 181.48 = 1270.36 **(1)** **OR** 725.92 x 0.875 = 635.18 **(1)** 635.18 x 2 = 1270. 36 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Q. No.	Explain **one** of the factors in Herzberg's motivational theory. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a factor in Herzberg's motivational theory, plus 2 further marks for explaining the theory, for a maximum of 3 marks. • One is called a hygiene factor **(1)** where employees are paid for their work **(1)** which means employees gain security knowing they can pay their bills **(1)** • One is called a motivator factor **(1)** employees gain achievement in their work **(1)** which allows them to grow and develop **(1)** **NB** No marks are awarded for a definition. Answers that list three factors with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Increase or decrease a value by a percentage

Answer 28 of 32 · Question 1 part e · 2 marks

2024 JUN · Paper 02 · extract 5 of 6 · find part e in this mark scheme extract

Q. No.	Analyse the benefits for *TUI* from including health and safety training for its employees in their induction training. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Employees working in one of the travel agencies will know what to do if there is an emergency, such as an employee injuring themselves after falling • Employees will be aware of any dangers by ensuring that all computer wires in the agencies are securely fastened to floors and walls so that no one can trip over them **AO3** • They will be able to make decisions quickly as to how to deal with the situation, by knowing where the first aid kit for plasters or bandages • Thus, avoiding any accidents and *TUI* being sued by employees	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2**) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Increase or decrease a value by a percentage

Answer 28 of 32 · Question 1 part e · 2 marks

2024 JUN · Paper 02 · extract 6 of 6 · find part e in this mark scheme extract

Q. No.	State **one** possible reason why *TUI* would want to keep its customers loyal. **Answer**	**Mark**

Type MS · Increase or decrease a value by a percentage

Answer 29 of 32 · Question 1 part e · 2 marks

2024 NOV · Paper 02 · extract 1 of 8 · find part e in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is D –** When total costs and total revenue are the same **A** – is not the correct answer as fixed and variable costs would not break-even **B** – is not the correct answer as total costs and fixed costs would not break-even **C** – is not the correct answer as fixed costs and total revenue would not break-even	**(1)**

Question Number	Which **one** of the following is a benefit to a franchisee? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** **The only correct answer is B –** The franchisee is given support from the franchisor **A** – is not the correct answer as the franchisee can only buy from the franchisor **C** – is not the correct answer as the wage will depend on sales made **D** – is not the correct answer as it is the franchisor who has total control	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 29 of 32 · Question 1 part e · 2 marks

2024 NOV · Paper 02 · extract 2 of 8 · find part e in this mark scheme extract

Question Number	Which **one** of the following is an advantage of job production when compared to other methods of production? **Answer**	Mark
1 (a) (iii)	**AO2 - 1 mark** **The only correct answer is A** – Workers will be better motivated **B** – is not the correct answer as production speeds will be slower **C** – is not the correct answer as the unit costs will be different for each product made **D** – is not the correct answer as more training will be needed for job production	**(1)**

Question Number	Which **one** of the following would be the total amount paid by a customer for a room? **Answer**	Mark
1 (a)(iv)	**AO1 - 1 mark** **The only correct answer is D –** 406.25 **A** – is not the correct answer as 81.25 is 25% of the 325 **B** – is not the correct answer as 243.75 is 325 minus 81.25 **C** – is not the correct answer as 350 is 325 plus 25	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 29 of 32 · Question 1 part e · 2 marks

2024 NOV · Paper 02 · extract 3 of 8 · find part e in this mark scheme extract

Question Number	Which **one** of the following is the percentage increase in revenue from 2021 to 2022. **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is C –** 209.62% **A** – is not the correct answer as 5.23% is 772.80 – 249.60 = 523.20/100 **B** – is not the correct answer as 67.70% is 772.80 – 249.60 = 523.20/772.80 x 100 **D** – is not the correct answer as 523.20% is 772.80 – 249.60	**(1)**

Question Number	Which **one** of the following is an internal source of finance for a business? **Answer**	Mark
1 (a)(vi)	**AO1 - 1 mark** **The only correct answer is C –** Personal savings is the only correct answer **A** - is not the correct answer as Crowdfunding is an external source of finance **B** – is not the correct answer as Loan capital is an external source of finance **D** – is not the correct answer as Venture capital is an external source of finance	**(1)**

Question Number	Define the term **job description.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **job description.** • It shows the tasks, duties, roles and responsibilities for a named job **(1)**	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 29 of 32 · Question 1 part e · 2 marks

2024 NOV · Paper 02 · extract 4 of 8 · find part e in this mark scheme extract

Question Number	Define the term **public corporation.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of a **public corporation.** • A business owned and controlled by a state/government **(1)**	**(1)**

Question Number	State **one** reason why *Premier Inn* managers would delegate tasks to hotel employees. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason why a *Premier Inn* managers would delegate tasks to hotel employees in the context of the business. • By delegating a task, the manager gains time to carry out other tasks such as greeting guests on arrival **(1)** • Employees may feel more motivated if they are trusted with additional jobs such as restocking the vending machines in public areas of the hotel **(1)** **NB** Do not accept a reason that is not in the context of *Premier Inn* **Accept any other appropriate response.**	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 29 of 32 · Question 1 part e · 2 marks

2024 NOV · Paper 02 · extract 5 of 8 · find part e in this mark scheme extract

Question Number	Calculate, to two decimal places, the price for the first night after the discount has been applied. You are advised to show your working. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 78.09 (2) **Or** 1 mark for workings if final answer incorrect 89.25 x 0.125 = 11.16**(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Increase or decrease a value by a percentage

Answer 29 of 32 · Question 1 part e · 2 marks

2024 NOV · Paper 02 · extract 6 of 8 · find part e in this mark scheme extract

Question Number	Explain **one** advantage of using focus groups when carrying out market research. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for an advantage of using focus groups when carrying out market research, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • By using focus groups researchers can talk directly to the people in the group **(1)** this means that they may get a more truthful answer **(1)** which may allow researchers to gain in-depth insights into consumers' thought, feelings and motivations **(1)** • Focus groups allow a variety of people to discuss the research being carried out **(1)** detailed notes of the discussion can be taken **(1)** which can then be used and analysed at a later date **(1)** **NB** No marks are awarded for a definition. Answers that list two advantages with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Increase or decrease a value by a percentage

Answer 29 of 32 · Question 1 part e · 2 marks

2024 NOV · Paper 02 · extract 7 of 8 · find part e in this mark scheme extract

Question Number	Analyse the benefits for India of these plans. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Building more hotels in India will provide greater job opportunities for the local population • The hotels will need employees with different skills such as chefs and waiters **AO3** • It will improve the overall Indian economy from increased taxes/revenue • It could reduce unemployment where the new hotels are built	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Increase or decrease a value by a percentage

Answer 29 of 32 · Question 1 part e · 2 marks

2024 NOV · Paper 02 · extract 8 of 8 · find part e in this mark scheme extract

Question Number	State **one** activity carried out by the marketing functional area at *Premier Inn*. **Answer**	**Mark**

Type MS · Increase or decrease a value by a percentage

Answer 30 of 32 · Question 1 part e · 2 marks

2025 JUN · Paper 01 · extract 1 of 6 · find part e in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is B – Current liability** **A –** Current asset - this is not correct because it is something a business owns that can be converted to cash within 12 months **C** – Non-current asset - this is not correct because it is something owned by a business for longer than 12 months **D** – Non-current liability - this is not correct because it is a debt to be paid back longer than 12 months	**(1)**

Question Number	Which **one** of the following is a pricing strategy where a business sets an initial high price for a product new to the market? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is A – Skimming** **B** – Competition - this is not correct because it is when a business considers its competitors price before setting theirs **C** – Penetration - this is not correct because it is when a business charges a low price to begin with before setting its own price **D** – Cost plus - this is not correct because it is adding a percentage to the cost of making the product	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 30 of 32 · Question 1 part e · 2 marks

2025 JUN · Paper 01 · extract 2 of 6 · find part e in this mark scheme extract

Question Number	Which **one** of the following is a role of the human resources department? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D – Recruiting employees** **A** – Reducing costs - this is not correct because it is the role of finance **B** – Designing products- this is not correct because it is the role of production **C** – Customer Service - this is not correct because it is the role of marketing	**(1)**

Question Number	Which **one** of the following is a benefit to a shareholder of having limited liability? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is C – Own possessions are not at risk** **A –** Choosing who buys shares - this is not correct because this is a benefit of owning a private limited company **B –** May build a better relationship with suppliers - this is not correct because it is a benefit of loyalty to a supplier **D –** Employee motivation will increase - this is not correct because it is a benefit of a good relationship with employees	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 30 of 32 · Question 1 part e · 2 marks

2025 JUN · Paper 01 · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Which **one** of the following is the break-even level of output? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is B - 350** **A** – 280 - this is not correct because it is the fixed costs **C** – 420 - this is not correct because it is the fixed costs multiplied by revenue **D** – 616 - this is not correct because it is the revenue added to variable cost per unit then multiplied by fixed costs	**(1)**

Question Number	Which **one** of the following statements from **Figure 2** correctly applies to the gym equipment business? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C – it made a profit of €43 765** **A** – It made a loss of €88 400 - this is not correct because it is the total costs **B** – It made a loss of €61 165 - this is not correct because it is (€54 000 + €17 000) – €132 165 **D** – It made a profit of €78 165 - this is not correct because it is €132 165 - €54 000	**(1)**

Question Number	Define the term **trade bloc.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **trade bloc**. • A group of countries that work together to benefit from trade free of barriers **(1)**	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 30 of 32 · Question 1 part e · 2 marks

2025 JUN · Paper 01 · extract 4 of 6 · find part e in this mark scheme extract

Question Number	Define the term **job production.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **job production**. • The one-off production of a customised product to meet a customers' specific needs **(1)**	**(1)**

Question Number	State **one** reason why *Four Fitness* would pay its employees more than the minimum wage. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a reason *Four Fitness* would pay its employees higher than minimum wage. • Its gym instructors are highly qualified and skilled **(1)** **NB** Do not accept a reason that is not in the context of *Four Fitness*. **Accept any other appropriate response.**	**(1)**

Question Number	Calculate the total price if five *Four Fitness* members attend the event. You are advised to show your working. **Answer**	Additional guidance	Mark
1 (e)	**AO2 - 2 marks** 175 – 12.25 = 162.75 **(2)** 35 x 5 = 175 **(1)** 175 x 0.07 = 12.25 **(1)**	Award full marks for correct numerical answer without working. Award 1 mark for correctly substituting numbers into formula.	**(2)**

Type MS · Increase or decrease a value by a percentage

Answer 30 of 32 · Question 1 part e · 2 marks

2025 JUN · Paper 01 · extract 5 of 6 · find part e in this mark scheme extract

Question Number	Explain **one** impact to a business of providing fringe benefits to employees. **Answer**	Mark
1 (f)	**AO1 - 3 marks** Award 1 mark for an impact to a business of providing fringe benefits to employees, plus 2 further marks for explaining the impact, for a maximum of 3 marks. • Lower staff turnover **(1)** which reduces recruitment costs **(1)** as they will not need to find new employees **(1)** **NB** Answers that list three impacts with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Question Number	Analyse the effectiveness of the wide span of control used by Gianni Polvani. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks** **AO3 = 3 marks** **AO2** • Gianni will be able to empower his employees directly within the gym as there are no layers between him and them • 14 employees may be too many for Gianni to manage himself especially as he has two gyms to run **AO3** • Employees will be more motivated as decisions will be made quicker and this will encourage them to take ownership of their own work resulting in them bringing in new ideas to the gym • He may not be able to spread his time evenly between all the workers which could lead to lower productivity levels because of this reduced supervision	**(6)**

Type MS · Increase or decrease a value by a percentage

Answer 30 of 32 · Question 1 part e · 2 marks

2025 JUN · Paper 01 · extract 6 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Question Number	State **one** factor *Four Fitness* may consider when choosing a location for its new gym. **Answer**	Mark

Type MS · Increase or decrease a value by a percentage

Answer 31 of 32 · Question 1 part a.iii · 1 mark

2025 JUN · Paper 02 (regional R) · extract 1 of 6 · find part a.iii in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is D Raw materials** **A** – is not the correct answer as insurance is a one-off payment **B** - is not the correct answer as rent is also a fixed cost for a period of time **C** - is not the correct answer as salaries are the same for a certain period	**(1)**

Q. No.	Which **one** of the following is a type of discrimination protected by employee legislation? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is C – Age** **A** – is not the correct answer as political is not protected by employee legislation **B** - is not the correct answer as ethical is not protected by employee legislation **D** - is not the correct answer as promotion is not protected by employee legislation	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 31 of 32 · Question 1 part a.iii · 1 mark

2025 JUN · Paper 02 (regional R) · extract 2 of 6 · find part a.iii in this mark scheme extract

Q. No.	Which **one** of the following is the price of buying both items with the promotional discount? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is B – £150.48** **A** – is not the correct answer as £129.96 is the cost with 24% discount **C** - is not the correct answer as £160.80 is the cost with the discount only applied to one item **D** - is not the correct answer as £171.00 is the cost of the items without a discount	**(1)**

Q. No.	Which **one** of the following is an advantage of primary market research? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is C - It is more up to date method of research** **A** – is not the correct answer as it is more expensive than other types of market research **B** – is not the correct answer as it is more time-consuming than other market research methods **D** - is not the correct answer as it is not only carried out by market-research agencies	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 31 of 32 · Question 1 part a.iii · 1 mark

2025 JUN · Paper 02 (regional R) · extract 3 of 6 · find part a.iii in this mark scheme extract

Q. No.	Which **one** of the following is the closing balance for this month? **Answer**	Mark
1 (a) (v)	**AO1 - 1 mark** **The only correct answer is B – €96 000** **B** – is not the correct answer as €88 000 is cash inflow plus cash outflow **C** – is not the correct answer as €110 000 is opening balance plus cash outflow **D** - is not the correct answer as €130 000 is opening balance plus cash inflow	**(1)**

Q. No.	Which **one** of the following is a likely effect of this change for American businesses? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** **The only correct answer is A – higher loan repayments** **B** – is not the correct answer as the change in interest rates does not affect labour costs **C** – is not the correct answer as the change in interest rates will not improve net cash flow **D** - is not the correct answer as there is no guarantee of an increase in sales	**(1)**

Q. No.	Define the term **autonomy**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **autonomy**. • Giving employees the authority to make choices about the way they work **(1)**	**(1)**

Type MS · Increase or decrease a value by a percentage

Answer 31 of 32 · Question 1 part a.iii · 1 mark

2025 JUN · Paper 02 (regional R) · extract 4 of 6 · find part a.iii in this mark scheme extract

Q. No.	Define the term **qualitative data**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **qualitative data**. • Data relating to attitudes, beliefs and intentions **(1)**	**(1)**

Q. No.	State **one** reason why *Rabanne* may use test marketing when introducing a new product. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid reason why *Rabanne* may use test marketing when introducing a product in the context of the business • *Rabanne* uses test marketing to see if the new perfume they want to introduce is something that customers are likely to buy **(1)** • If the aftershave is not liked, then *Rabanne* can make adjustments before it is launched **(1)** **NB** Do not accept a reason that is not in the context of *Rabanne*. Accept any appropriate response	**(1)**

Q. No.	Calculate, to **two** decimal places, the price of the handbag in US dollars. You are advised to show your working. **Answer**	**Additional Guidance**	Mark
1 (e)	**A02 - 2 marks** = 1 709.68 **(2)** **OR** 1 590 ÷ 0.93 = **(1)**	Award full marks for correct answer with no working. Award 1 mark for correctly substituting numbers into formula.	**(2)**

Type MS · Increase or decrease a value by a percentage

Answer 31 of 32 · Question 1 part a.iii · 1 mark

2025 JUN · Paper 02 (regional R) · extract 5 of 6 · find part a.iii in this mark scheme extract

Q. No.	Explain **one** reason why an employer might use a letter to communicate with an employee. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a reason why an employer might use a letter to communicate with an employee, plus 2 further marks, for a maximum of 3 marks. • Letters are private way of communicating **(1)** a job offer/promotion/suspension/redundancy with an employee **(1)** to confirm the next stage in the process **(1)** • Letters are a formal way of communication **(1)** as it portrays a professional image for the business **(1)** and is personal to an employee **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Q. No.	Analyse **two** benefits to *Rabanne* of being a global business. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • As *Rabanne* is a global business its perfume can be sold throughout the world • Being global gives *Rabanne* access to a variety of employees who have the skills and knowledge to create different fragrances for men and women **AO3** • Giving it access to a wider range of people who can purchase its products more easily • Providing a variety of skills and talents to help create and sell its products	**(6)**

Type MS · Increase or decrease a value by a percentage

Answer 31 of 32 · Question 1 part a.iii · 1 mark

2025 JUN · Paper 02 (regional R) · extract 6 of 6 · find part a.iii in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2)** • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Q. No.	State **one** reason why *Rabanne* ensures that all its employees have job enrichment opportunities. **Answer**	Mark

Type MS · Increase or decrease a value by a percentage

Answer 32 of 32 · Question 4 part a · 2 marks

2025 JUN · Paper 02 · extract 1 of 5 · find part a in this mark scheme extract

4 (a)	**A02 - 2 marks** 15.50 x 0.30 = 4.65 **(1)** 15.50 – 4.65 = 10.85 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Q. No.	Analyse why *Starbucks* thinks it is important to interview candidates that have applied for a job with them. **Indicative content**	**Mark**
4 (b)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Starbucks* get the opportunity of meeting the prospective employees to check that they have the right skills to serve customers with the correct coffee drink • Additional questions can be asked of the candidate to judge whether or not they will meet the needs of producing sandwiches that customers require **AO3** • It ensures that employees will be able to serve *Starbucks* to the best of their ability • This could ensure that *Starbucks* gets the employees who will fit into the shops, giving the best service	**(6)**

Type MS · Increase or decrease a value by a percentage

Answer 32 of 32 · Question 4 part a · 2 marks

2025 JUN · Paper 02 · extract 2 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout **(AO2)** • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Increase or decrease a value by a percentage

Answer 32 of 32 · Question 4 part a · 2 marks

2025 JUN · Paper 02 · extract 3 of 5 · find part a in this mark scheme extract

Q. No.	Evaluate why *Starbucks* carries out product trials that might reduce the risks from introducing new products. You should use the information provided as well as your own knowledge of business. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO1** • If *Starbucks* launch a new product they want to know customers will buy it • All new products need to be tested on the market and the larger the sample the more accurate the results **AO2** • *Starbucks* could have wasted a great deal of money introducing a new coffee which customers did not like • If *Starbucks* introduce a new cake, they need to know that customers are likely to purchase it **AO3** • By carrying out product trials they can find out if the new coffee flavour will be bought by customers • *Starbucks* need to gain customers opinion on the new product being introduced to see if it will sell **AO4** • However, there is no guarantee that just because some customers did not like the new coffee that it would not eventually become very popular • However, no matter how much research is done on a new product there is no guarantee that customers will want to purchase the item.	**(12)**

Type MS · Increase or decrease a value by a percentage

Answer 32 of 32 · Question 4 part a · 2 marks

2025 JUN · Paper 02 · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Increase or decrease a value by a percentage

Answer 32 of 32 · Question 4 part a · 2 marks

2025 JUN · Paper 02 · extract 5 of 5 · find part a in this mark scheme extract

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